



ICMAI
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COST ACCOUNTANTS OF INDIA

भारतीय लागत लेखाकार संस्थान

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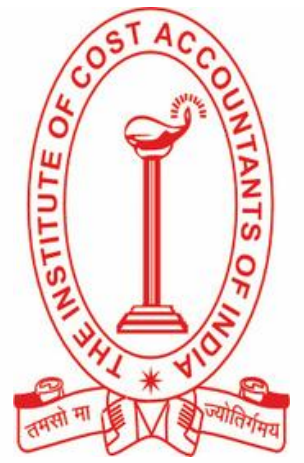
TOPIC NAME: Income Tax **Deduction**



Behind every successful business decision, there is always a **CMA**



Agenda

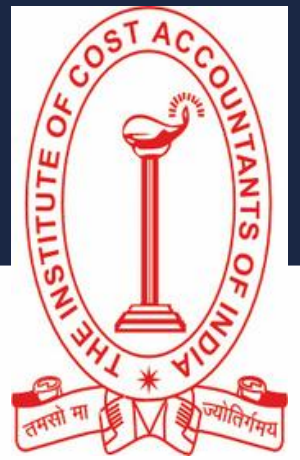


- 01 Overview of Statutory Deductions
- 02 Section 123 – Life Insurance & Provident Fund
- 03 Section 126 – Health Insurance
- 04 Section 133 – Donations & Charitable Contributions
- 05 Other Key Deductions & Comparison
- 06 Tax Planning Strategies & Summary

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What Are Statutory Deductions?



- Statutory deductions are specific amounts permitted by law to be subtracted from an individual's or entity's gross total income, thereby reducing taxable income.
- Chapter VI-A of the Income Tax Act provides the framework for these deductions — covering investments, insurance, donations, and other specified expenditures.
- These deductions serve a dual purpose: encouraging desired behaviors (savings, health coverage, charity) while providing relief to taxpayers.
- The three primary sections covered in this presentation: Section 123 (Life Insurance & PF), Section 126 (Health Insurance), Section 133 (Donations).
- Each section has specific eligibility criteria, qualifying amounts, and maximum limits that must be adhered to for a valid deduction claim.
- Proper documentation and timely filing are mandatory conditions for availing these deductions.



Core Principles of Statutory Deductions



Who?

Eligibility

Individual / HUF / Firm

How Much?

Quantum Limits

Fixed caps per section

What?

Qualifying Payments

Specified instruments

Proof?

Documentation

Receipts & certificates

When?

Timing

During financial year

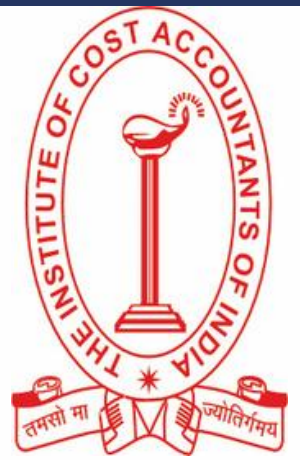
How?

Mode of Payment

Digital/Cheque preferred

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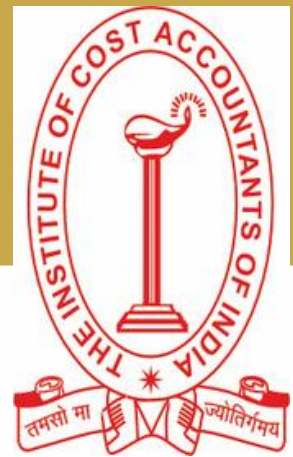
Section 123

Life Insurance & Provident Fund Deductions



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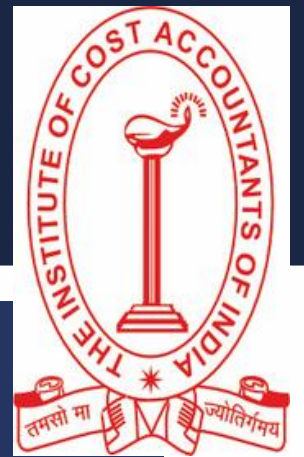
Section 123 – Overview



- Section 123 is the equivalent of Section 80C of the Income Tax Act — it covers the widest range of investment and savings instruments eligible for deduction.
- Maximum deduction limit: ₹1,50,000 per financial year (aggregate of all qualifying investments under this section).
- Available to: Individual taxpayers and Hindu Undivided Families (HUFs). Not available to companies, firms, or LLPs.
- Key investment categories: Life Insurance Premiums, Provident Fund contributions, PPF deposits, ELSS, NSC, Tax Saver FDs, Home Loan principal repayment.
- The deduction is available on the amount actually paid or deposited during the financial year, subject to the overall ceiling.
- If the policy is surrendered within 2 years (traditional) or before 5 years (ULIP), the deduction previously claimed becomes taxable in the year of surrender.



Section 123 – Life Insurance Premium



Eligibility & Limits

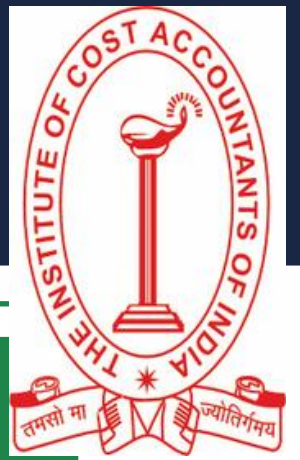
- Premium paid on life of self, spouse, or any child (dependent or not)
- For HUF: premium on life of any member
- Sum Assured $\geq 10 \times$ Annual Premium (for policies issued after Apr 1, 2012)
- For policies issued before Apr 1, 2012: Sum Assured $\geq 5 \times$ Annual Premium
- Deduction limited to 10% of Sum Assured (20% if issued before Apr 1, 2012)
- For disabled dependents: limit raised to 15% of Sum Assured

Key Points

- Single premium policies: limited to 10% / 15% of Sum Assured in year of payment
- Premiums for Unit-Linked Insurance Plans (ULIPs) also qualify
- Premiums paid to LIC or any insurer approved by IRDAI are eligible
- Group life insurance premiums through employer may qualify if paid separately
- On death of policyholder: proceeds remain exempt under Section 10(10D)
- Surrender or lapse within lock-in: prior deduction reversed and taxed



Section 123 – Provident Fund Contributions



Employee Provident Fund (EPF)

- Employee's own contribution to EPF qualifies for deduction
- Employer's contribution: NOT deductible (but exempt up to 12% of salary)
- Contribution rate: 12% of Basic + DA (employee's share)
- Interest credited to EPF account: exempt up to 9.5% p.a.
- Withdrawal after 5 continuous years of service: fully exempt
- EPF interest > 9.5% p.a. or on contribution > ₹2.5 lakh p.a.: taxable

Public Provident Fund (PPF)

- Deposits to PPF (own account and minor child's account) qualify
- Minimum deposit: ₹500 per year; Maximum: ₹1,50,000 per year
- Lock-in: 15 years (extendable in 5-year blocks); partial withdrawal from 7th year
- Interest rate: Government declared quarterly (currently ~7.1% p.a.)
- Interest earned: fully exempt from income tax
- Maturity proceeds: fully exempt — EEE (Exempt–Exempt–Exempt) status



Section 123 – Other Qualifying Instruments



ELSS

Equity-Linked Savings Scheme – 3-year lock-in, market-linked returns

NSC

National Savings Certificate – 5-year term, interest accrued also qualifies

Tax Saver FD

5-year bank/post office fixed deposit – no premature withdrawal

SCSS

Senior Citizens' Savings Scheme – for 60+ years, 5-year term

Home Loan Principal

Principal repayment on home loan (stamp duty/registration in year of payment)

Sukanya Samriddhi

Deposits for girl child (below 10 years) – EEE benefit



Section 123 – Deduction Limits at a Glance

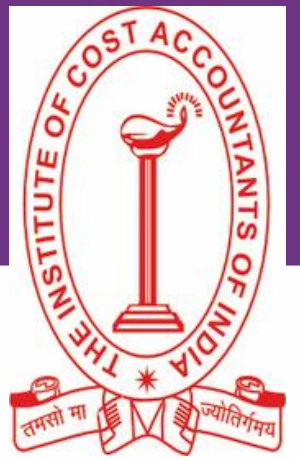


Instrument	Max Deduction	Lock-in Period	Tax on Returns	Who Can Invest
Life Insurance Premium	10% of Sum Assured	Term of policy	Exempt (Sec 10(10D))	Individual / HUF
EPF – Employee Share	Up to ₹1,50,000 overall	Until retirement	Exempt ($\leq 9.5\%$)	Salaried Employees
PPF	₹1,50,000 per year	15 years	Fully Exempt	All Individuals
ELSS Mutual Funds	Up to ₹1,50,000 overall	3 years	LTCG > ₹1 lakh taxed	Individual / HUF
NSC	Up to ₹1,50,000 overall	5 years	Interest taxable	Individual
Tax Saver FD	Up to ₹1,50,000 overall	5 years	Interest taxable	Individual / HUF
Home Loan Principal	Up to ₹1,50,000 overall	Nil (but 5 yr hold)	—	Individual / HUF

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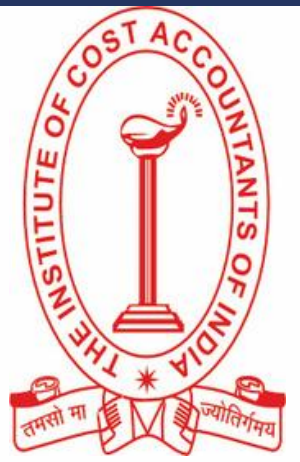


Section 123A – National Pension System (NPS)



- Section 123A (equivalent to 80CCC) covers premiums paid toward pension / annuity plans from LIC or other approved insurers.
- Deduction available for amounts paid to purchase an annuity plan for receiving pension from a fund set up by the insurer.
- The deduction under 123A is subsumed within the overall ₹1,50,000 ceiling of Section 123.
- Additional deduction under 123B ($\equiv$ 80CCD): Employee's own NPS contribution up to 10% of salary (Basic+DA) qualifies.
- Employer's NPS contribution up to 10% of salary: deductible from employer's income AND exempt in employee's hands up to 7.5 lakh aggregate limit.
- Section 123B(1B) ($\equiv$ 80CCD(1B)): Exclusive additional deduction of ₹50,000 for own NPS contribution — OVER AND ABOVE the ₹1,50,000 limit of Sec 123.
- NPS Tier-1 account contributions qualify; Tier-2 does not. Partial withdrawal: 25% tax-free after 3 years for specific purposes.





Section 126

Health Insurance Deductions



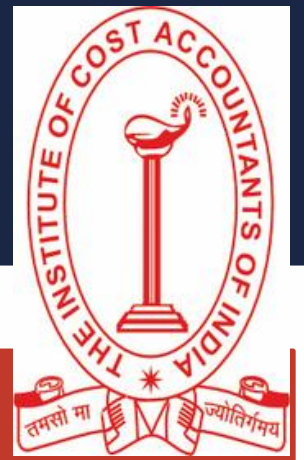
Section 126 – Health Insurance (Overview)



- Section 126 (equivalent to Section 80D) provides deductions for premiums paid towards health/medical insurance and certain health-related expenditures.
- Objective: Encourage individuals to secure health coverage for self and dependents, reducing financial burden of medical emergencies.
- Premiums must be paid by any mode OTHER than cash (except for preventive health check-ups, which can be paid in cash).
- Available to: Individual taxpayers and HUFs. Not available to companies or firms.
- Deduction is available for premiums paid for policies covering self, spouse, dependent children, and (additionally) parents.
- Three separate sub-limits: (a) Self + Family, (b) Parents, (c) Preventive Health Check-up — each governed by age of insured.
- Senior citizens (age 60+) receive enhanced limits and can also claim deduction for medical expenditure if not covered by insurance.



Section 126 – Deduction Limits



₹25,000

**Self + Family
(Below 60 yrs)**

*Including ₹5,000 for
Preventive Health Check-up*

₹50,000

**Self + Family
(60+ yrs / Senior)**

*Enhanced limit for
senior citizens*

₹25,000

**Parents
(Below 60 yrs)**

*Additional deduction
over self+family limit*

₹50,000

**Parents
(60+ yrs / Senior)**

*Maximum additional
benefit for senior parents*

₹1,00,000

Max: Self + Senior Parents

*If both self (60+) &
parents (60+)*

₹5,000

**Preventive Check-up
(within overall limit)**

*Cash payment allowed
for this sub-limit*



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Section 126 – What Qualifies?



Eligible Payments

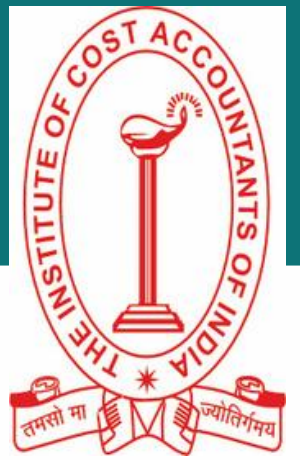
- Premium paid to any insurer approved by IRDAI for health/medical insurance
- Mediclaim policies for self, spouse, dependent children
- Premium on policy for parents (including step-parents / adoptive parents)
- Contribution to Central Government Health Scheme (CGHS) for government employees
- Preventive health check-up expenses (up to ₹5,000 within overall limit)
- Medical expenditure for senior citizen NOT covered by any insurance

Non-Eligible Payments

- Premiums paid in cash (except preventive health check-up)
- Premiums for group insurance where employer bears the cost
- Premiums for life insurance policies (covered under Section 123)
- Premiums for accident insurance (if standalone personal accident plan)
- Payments made for non-dependent adult children with separate income
- GST on insurance premium (only base premium qualifies, not GST)



Section 126 – Critical Conditions & Notes



- Mode of Payment: Premium must be paid by cheque, demand draft, credit/debit card, net banking, or NEFT/RTGS. Cash payments are NOT allowed (except ₹5,000 preventive check-up).
- Policy must be in force during the financial year for which deduction is claimed — lapsed policies do not qualify.
- Multi-year premiums: If a single payment covers multiple years, deduction is allowed proportionately year-by-year.
- Spouse's separate premium: If both spouses pay separate premiums for themselves, each can claim within their own deduction limits.
- Reimbursement by employer: If employer reimburses the premium, the employee cannot claim deduction — deduction follows who actually paid.
- Senior Citizen without Insurance (Medical Expenditure): Deduction of up to ₹50,000 for actual medical expenses of a senior citizen (self or parent) who does NOT have health insurance.
- HUF: Can claim deduction for premiums paid for any member of the HUF, subject to the same limits.



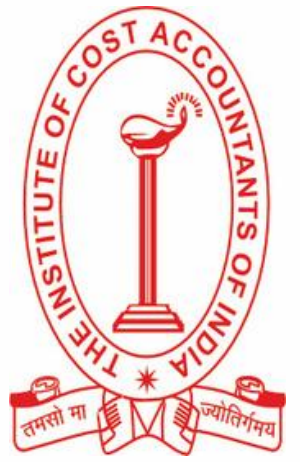
Section 126 – Practical Scenarios



Scenario	Self+Family	Parents	Total Deduction
Self (40 yrs) + Parents (below 60)	₹25,000	₹25,000	₹50,000
Self (40 yrs) + Parents (62 yrs)	₹25,000	₹50,000	₹75,000
Self (62 yrs, Senior) + Parents (62 yrs)	₹50,000	₹50,000	₹1,00,000
Senior Citizen – No insurance (Self)	₹50,000 (medical exp)	—	₹50,000
HUF – Member's premium (below 60)	₹25,000	N/A	₹25,000
Self + Preventive Health Check-up only	₹5,000 (within ₹25,000)	—	₹5,000

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Section 133

Donations & Charitable Contributions

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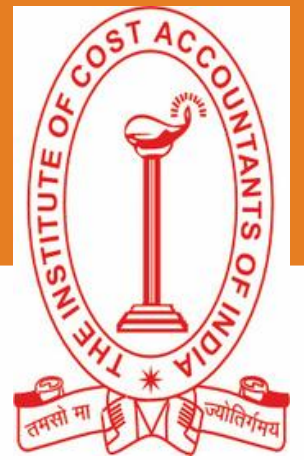
Section 133 – Donations (Overview)



- Section 133 (equivalent to Section 80G) provides deductions for donations made to certain specified funds, institutions, and charitable organizations.
- The section incentivizes philanthropy by allowing individuals, companies, and other taxpayers to claim deductions on charitable contributions.
- Deduction rate: Either 100% or 50% of the amount donated, depending on the category of the donee institution.
- Qualifying limit: Some donations have no qualifying limit (100% deduction); others are limited to 10% of 'Adjusted Gross Total Income'.
- Cash payment restriction: Donations exceeding ₹2,000 must be made by modes other than cash — cheque, DD, or online transfer.
- 80G Certificate / Registration: The donee institution must be registered and must issue Form 10BE to the donor for the deduction to be valid.
- Donations in kind (goods, services) do NOT qualify — only monetary contributions are eligible.



Section 133 – Four Categories of Donations



Category A — 100% Deduction

Limit: No Limit

PM National Relief Fund, PM CARES, National Defence Fund, Swachh Bharat Kosh

Category B — 50% Deduction

Limit: No Limit

PM Drought Relief Fund, Jawaharlal Nehru Memorial Fund, Indira Gandhi Memorial Trust, Rajiv Gandhi Foundation

Category C — 100% Deduction

Limit: 10% of AGTI

Govt-approved research associations, universities, notified temples/historical places, approved charitable institutions

Category D — 50% Deduction

Limit: 10% of AGTI

Any other approved charitable institution (registered NGOs, religious trusts, hospitals, educational institutions)



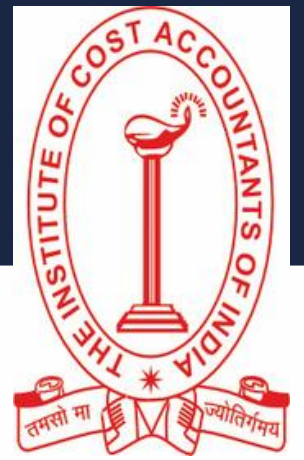
Section 133 – Adjusted Gross Total Income (AGTI)



- AGTI = Gross Total Income – Deductions under Sections 123, 123A, 123B, 126, 130, 131, 132 (all other deductions EXCEPT Section 133 itself).
- AGTI also excludes: Long-Term Capital Gains taxed at special rates, Short-Term Capital Gains under Section 111A, income taxed at special rates for non-residents.
- The 10% qualifying limit applies to Categories C and D donations: Maximum deduction = 10% of AGTI.
- Example: AGTI = ₹6,00,000. Maximum qualifying donation for Cat C/D = ₹60,000. If donation = ₹80,000, deduction = ₹60,000 (for Cat D: 50% of ₹60,000 = ₹30,000).
- If multiple donations fall under different categories, compute each independently against the 10% AGTI limit.
- Form 10BE: From FY 2021-22, the donee institution must issue Form 10BE to the donor. The donor must report the ARN (Acknowledgement Reference Number) in the ITR.
- Failure to obtain Form 10BE may result in disallowance of the deduction during assessment.



Section 133 – Compliance & Documentation



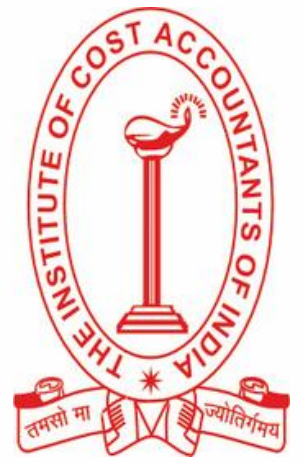
Documentation Required

- Form 10BE issued by the donee institution (mandatory from FY 2021-22)
- ARN (Acknowledgement Reference Number) to be quoted in ITR
- Receipt from the institution showing: name, PAN, address, registration number
- Bank statement / cancelled cheque showing the actual outflow
- For cash donations $\leq ₹2,000$: paper receipt from institution sufficient
- Corporate donors: Board resolution may be required for large donations

Common Pitfalls to Avoid

- Donating to unregistered institutions — deduction will be disallowed
- Cash donations exceeding ₹2,000 — not eligible for deduction
- Donations in kind (clothes, food, equipment) — not deductible
- Claiming 100% on a 50% category or ignoring the AGTI limit
- Not obtaining Form 10BE or failing to report ARN in ITR
- Donating to foreign institutions — generally not eligible





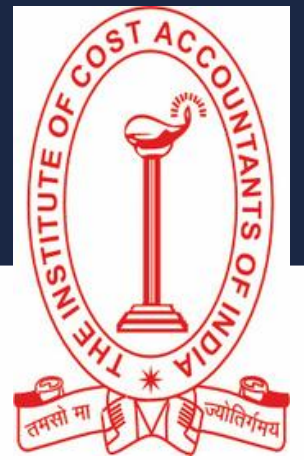
Section Other Sections

Other Key Deduction Sections

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Education & Home Loan Interest Deductions



Section 127 – Education Loan Interest ($\equiv$ 80E)

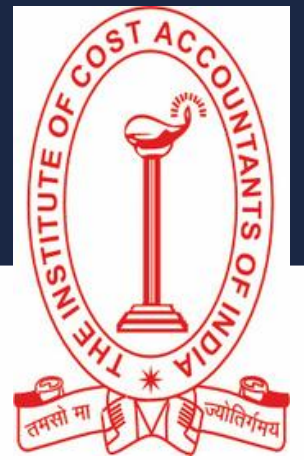
- Interest paid on loan for higher education: 100% deductible, NO upper limit
- Available for loan taken for self, spouse, children, or student for whom taxpayer is legal guardian
- Higher education = any full-time recognized course after passing Senior Secondary or equivalent
- Deduction starts from the year of repayment and is available for 8 consecutive years
- Principal repayment: NOT eligible — only the interest portion qualifies
- Loan must be taken from a financial institution or approved charitable institution

Section 128 – Home Loan Interest ($\equiv$ 24b / 80EEA)

- Interest on home loan for self-occupied property: up to ₹2,00,000 under Section 24(b) equivalent
- Section 80EEA equivalent (first-time buyers): additional ₹1,50,000 deduction on interest (stamp duty value $\leq$ ₹45 lakh)
- Loan must be sanctioned between specific dates to qualify under 80EEA equivalent
- Let-out property: actual interest deductible (no cap), but overall loss capped at ₹2,00,000 set-off per year
- Pre-construction interest: deductible in 5 equal instalments from year of possession
- Both self-occupied and rented properties are eligible under respective provisions



Other Key Sections at a Glance

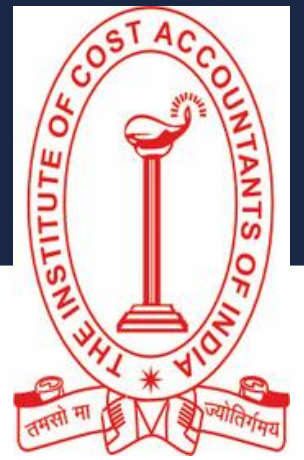


Section	Equivalent to	Description	Max Deduction	Eligibility
Sec 130	80TTA / 80TTB	Interest on savings bank / deposits	₹10,000 / ₹50,000 (Sr. Citizen)	Individual / HUF
Sec 131	80GG	Rent paid (where HRA not received)	₹60,000 p.a. or formula	Individual (salaried/self-emp.)
Sec 132	80RRB	Royalty income from patents	₹3,00,000	Resident Individual
Sec 134	80DDB	Medical treatment of specified diseases	₹40,000 / ₹1,00,000 (Sr.)	Individual / HUF
Sec 135	80DD	Expenditure for disabled dependent	₹75,000 / ₹1,25,000 (severe)	Individual / HUF
Sec 136	80U	Self-suffering from disability	₹75,000 / ₹1,25,000 (severe)	Individual (resident)
Sec 137	80G / 80GGA	Scientific research donations	100% / 150% of donation	All assesses

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Old vs New Tax Regime – Deduction Availability



Old Tax Regime

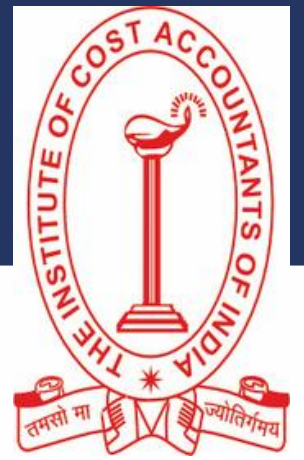
- All Chapter VI-A deductions available (Sec 123, 126, 133, etc.)
- Section 123 deduction up to ₹1,50,000 fully available
- Section 126 health insurance deduction available
- Section 133 donation deductions available
- Home loan interest deduction under Section 24(b) available
- Additional NPS deduction ₹50,000 under Sec 123B(1B) available
- Suitable for taxpayers with significant eligible investments

New Tax Regime (Default from FY 2023-24)

- MOST Chapter VI-A deductions NOT available
- Section 123 (LIC, PF, ELSS, etc.) — NOT available
- Section 126 health insurance — NOT available
- Section 133 donations — NOT available
- Home loan interest (self-occupied) under Sec 24(b) — NOT available
- Exceptions: Employer NPS contribution (Sec 123B employer part) and standard deduction (₹50,000 salaried) are available
- Suitable for those with fewer deductions or higher income



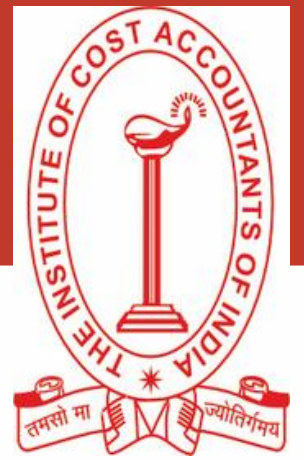
Optimal Tax Planning Strategy – Old Regime



- Step 1 – Max out Section 123 (₹1,50,000): Prioritize ELSS (shortest lock-in, equity returns), then EPF/PPF for debt portion. Avoid parking all in LIC premiums alone.
- Step 2 – Claim NPS 80CCD(1B) equivalent (₹50,000): Always claim this — it is OVER and ABOVE the ₹1,50,000 limit. Even if you don't want NPS long-term, Tier-1 contributions must stay.
- Step 3 – Section 126 (Health Insurance): Ensure family + parents are covered. Senior parents give ₹50,000 extra deduction. Health insurance is also essential risk protection.
- Step 4 – Home Loan Interest: If servicing a home loan, claim up to ₹2,00,000 interest on self-occupied property. First-time buyers: check for additional ₹1,50,000 under 80EEA equivalent.
- Step 5 – Donations (Section 133): Plan charitable giving with registered institutions. Prefer 100% deduction (Category A/C) funds. Donate by cheque/online for compliance.
- Step 6 – Check Section 130 (Bank Interest): Senior citizens: claim ₹50,000 FD interest deduction. Others: ₹10,000 savings bank interest deduction.
- Step 7 – Regime Choice: Model total tax under both regimes before filing. Use online calculators to determine which regime results in lower outgo.



Common Mistakes & How to Avoid Them



Missing the ₹2,000 cash limit for Section 133



Always donate via cheque or online; keep bank proof



Claiming premiums paid for non-dependent adult child under Sec 126



Verify dependency status; eligible if genuinely dependent



Overlooking the additional ₹50,000 NPS deduction (Sec 123B sub-limit)



Open NPS Tier-1 and contribute separately to claim this bonus



Surrendering LIC policy within 2 years and losing deduction



Plan policy duration carefully; avoid short-term surrender



Paying health insurance premium in cash (except preventive check-up)



Set up auto-debit from bank account for premium payment



Not obtaining Form 10BE from NGO/charity before ITR filing



Contact donee institution proactively; verify ARN on income tax portal

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Compliance Calendar & Year-End Checklist



Apr–Jun

Start LIC/health premium auto-debit; open PPF/NPS if new

Jul–Sep

Review ELSS SIPs; check EPF statement; verify tax-saver FD amounts

Oct–Dec

Make ELSS lump-sum if needed; plan charitable donations; NSC purchase

Jan–Mar

Submit investment proof to employer (Form 12BB); make remaining Section 123 investments; collect Form 10BE from donees; obtain health insurance receipts

Jul 31

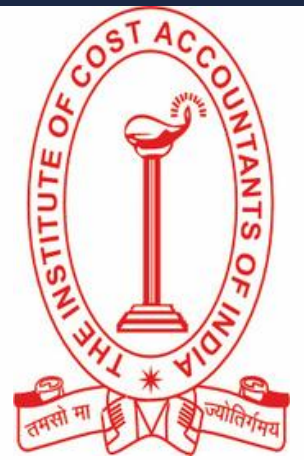
File ITR with all deduction claims; attach supporting documents; verify ARNs

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Key Takeaways

Consult a qualified tax advisor for personalized advice based on your specific income structure.



Sec 123

Invest ₹1,50,000 wisely — ELSS, PPF, LIC, EPF, Tax FD. Combine instruments for best risk-return balance.

Sec 123B

Never miss the extra ₹50,000 NPS deduction — it's a separate, additional benefit beyond Sec 123.

Sec 126

Health insurance protects wealth AND saves tax. Senior parents significantly boost your deduction limit.

Sec 133

Donate to registered institutions, use digital payment, obtain Form 10BE — essential for a valid deduction.

Regime

Always compare Old vs New regime. If deductions exceed ₹3.75L, old regime is usually more beneficial.

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INCOME TAX

DEDUCTIONS

A Complete Guide: Old Regime vs New Regime (Section 202)

Including Comparative Calculators & Tax-Saving Strategies

FY 2024-25 | Assessment Year 2025-26 | India

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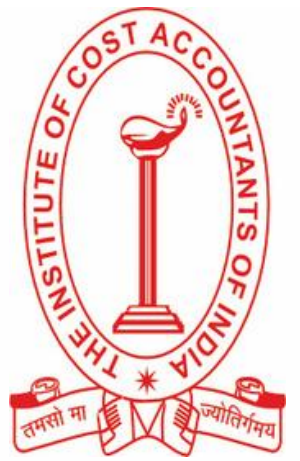
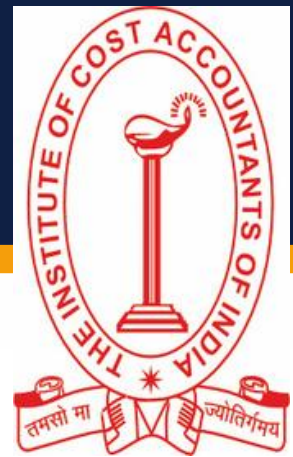


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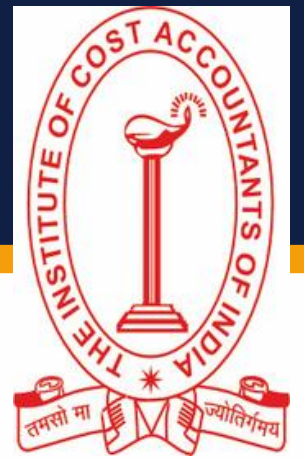
Summary & Key Takeaways

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Behind every successful business decision, there is always a **CMA**



What is a Tax Deduction?



A tax deduction reduces your Gross Total Income, lowering the amount on which tax is computed. The more deductions you claim, the lower your taxable income — and therefore your tax liability.

Gross Income

– Deductions

= Taxable Income

× Tax Rate

= Tax Payable



Claimed While Filing ITR

Deductions are declared in your Income Tax Return each year



Assessed Annually

Applies to income earned in a Financial Year (Apr–Mar)



Regime-Dependent

Different deductions apply under Old and New Tax Regimes

Behind every successful business decision, there is always a **CMA**



Types of Deductions — Overview



80C

Investments & Savings

Limit: ₹1,50,000

PPF, ELSS, LIC, EPF, NSC

80D

Health Insurance

Limit: ₹25,000–1,00,000

Medical insurance premiums

80E

Education Loan Interest

Limit: No limit

Interest on higher education loan

24(b)

Home Loan Interest

Limit: ₹2,00,000

Interest on housing loan

HRA

House Rent Allowance

Limit: Actual / Formula

Salaried employees in rented house

80G

Charitable Donations

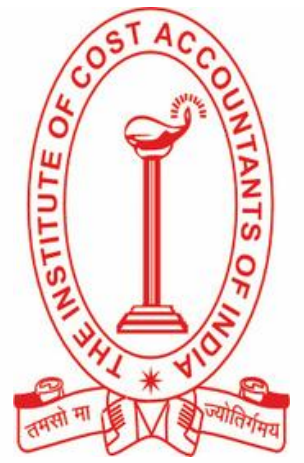
Limit: 50%–100%

Donations to approved institutions

Behind every successful business decision, there is always a **CMA**



SECTION 02



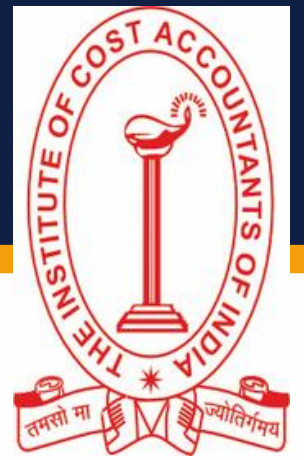
Old Tax Regime

Multiple deductions available to reduce taxable income significantly

Behind every successful business decision, there is always a **CMA**



Old Tax Regime — Tax Slabs (FY 2024-25)



Income Slab	Tax Rate
Up to ₹2,50,000	NIL
₹2,50,001 – ₹5,00,000	5%
₹5,00,001 – ₹10,00,000	20%
Above ₹10,00,000	30%

+ Surcharge: 10% (₹50L–1Cr) | 15% (₹1Cr–2Cr) | 25% (₹2Cr–5Cr) | 37% (>₹5Cr)

+ Health & Education Cess: 4% on tax + surcharge

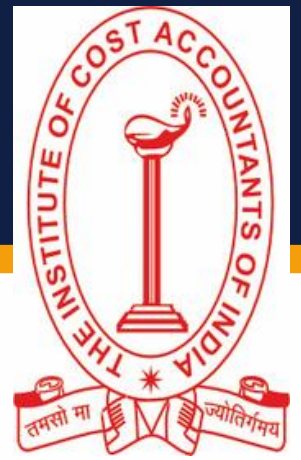
Key Features of Old Regime

- ✓ All 80C, 80D, 80E, HRA, LTA deductions available
- ✓ Standard Deduction ₹50,000 for salaried
- ✓ Home loan interest deduction ₹2L
- ✓ 80TTA: ₹10,000 on savings interest
- ✓ Most suitable for those with heavy investments
- ✓ 87A rebate: Zero tax up to ₹5L income

Behind every successful business decision, there is always a **CMA**



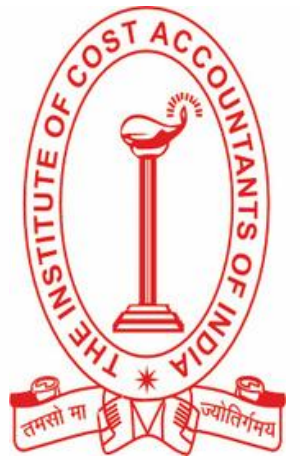
Old Regime — Complete Deductions at a Glance



Section	Deduction	Max Limit
80C	Investments (PPF, ELSS, LIC, EPF, NSC, Sukanya)	₹1,50,000
80CCC	Pension Fund Contribution	₹1,50,000
80CCD(1B)	NPS Additional Contribution	₹50,000
80D	Medical Insurance Premium	₹25,000 – ₹1,00,000
80E	Education Loan Interest	No Limit
80EE	Home Loan Interest (first-time buyer)	₹50,000
80G	Donations to Charity	50% or 100%
80GG	Rent Paid (without HRA)	₹5,000/month
80TTA	Savings Account Interest	₹10,000
80TTB	Interest (Senior Citizens)	₹50,000
24(b)	Home Loan Interest	₹2,00,000
HRA	House Rent Allowance	As per formula
Std Deduction	Salaried/Pensioners	₹50,000

Behind every successful business decision, there is always a **CMA**



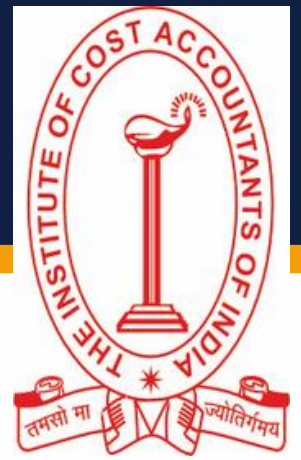


New Tax Regime (Section 202)

Simplified slabs with lower rates — fewer deductions allowed



New Tax Regime — Tax Slabs (FY 2024-25) | Section 202



Income Slab	Tax Rate
Up to ₹3,00,000	NIL
₹3,00,001 – ₹7,00,000	5%
₹7,00,001 – ₹10,00,000	10%
₹10,00,001 – ₹12,00,000	15%
₹12,00,001 – ₹15,00,000	20%
Above ₹15,00,000	30%

 Key Benefit: Rebate under Section 87A — Zero tax for income up to ₹7,00,000 (net taxable) under New Regime!

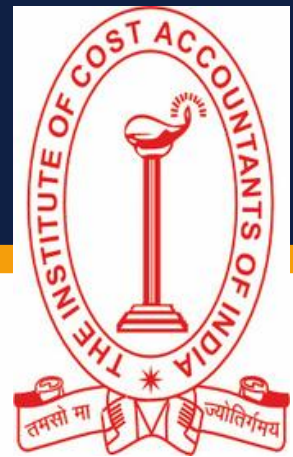
New Regime Features

- ✓ Default regime from FY 2023-24
- ✓ Standard deduction ₹75,000 (from FY 2024-25)
- ✓ Family pension deduction ₹25,000
- ✓ No 80C, 80D, 80E exemptions
- ✓ No HRA, LTA, NPS exemptions
- ✓ Lower tax rates — simpler filing
- ✓ 87A rebate: Zero tax up to ₹7L

Behind every successful business decision, there is always a **CMA**



New Regime — What Exemptions are NOT Available?



✗ NOT Available in New Regime

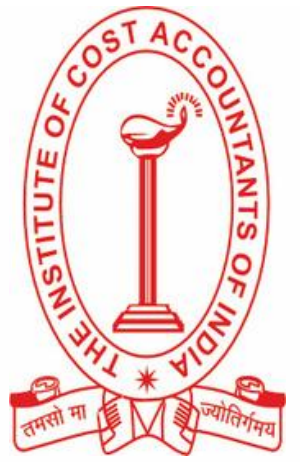
- ✗ Section 80C — ₹1.5L investment deductions
- ✗ Section 80D — Health Insurance premium
- ✗ Section 80E — Education Loan Interest
- ✗ HRA — House Rent Allowance
- ✗ LTA — Leave Travel Allowance
- ✗ Section 80TTA/80TTB — Savings interest
- ✗ Home Loan Interest (Sec 24b) for self-occupied
- ✗ 80G — Charitable Donations

✓ Still Available in New Regime

- ✓ Standard Deduction ₹75,000 (salaried)
- ✓ Family Pension Deduction ₹25,000
- ✓ Employer NPS Contribution (Sec 80CCD(2))
- ✓ Gratuity & Leave Encashment exemption
- ✓ Voluntary Retirement Scheme exemption
- ✓ Life insurance maturity proceeds (exempt)
- ✓ Retrenchment compensation exemption
- ✓ Section 10(10D) — LIC maturity proceeds



SECTION 04



Key Deductions — Deep Dive

Section 80C, 80D, 80E, HRA, Home Loan & More

Behind every successful business decision, there is always a **CMA**



Section 80C — Investments & Savings Deductions



Maximum Deduction Limit: ₹1,50,000 per year (Cumulative under 80C + 80CCC + 80CCD(1))

PPF

Public Provident Fund

15-yr lock-in, EEE status

EPF

Employee Provident Fund

Auto-deducted from salary

ELSS

Equity Linked Savings Scheme

3-yr lock-in, market-linked

LIC

Life Insurance Premium

For self, spouse, children

NSC

National Savings Certificate

5-yr term, fixed returns

Tax-Saver FD

Bank Fixed Deposit

5-yr lock-in, taxable returns

Tuition Fees

Children's School Fees

Max 2 children

Home Loan Principal

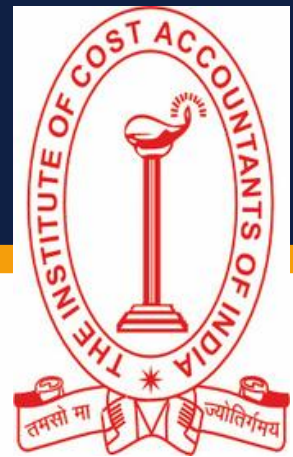
Housing Loan Repayment

Principal portion only

Behind every successful business decision, there is always a **CMA**



Section 80D — Health Insurance Deductions



Self & Family
(Below 60)

₹25,000

Medical insurance premium

Self & Family
(Senior Citizen 60+)

₹50,000

Taxpayer is a senior citizen

Parents
(Below 60)

+ ₹25,000

Additional for parents' policy

Parents
(Senior Citizen 60+)

+ ₹50,000

Parents are senior citizens

Maximum Combined Limit: ₹25,000 (self) + ₹50,000 (senior parent) = ₹75,000 | Both senior citizens: ₹50,000 + ₹50,000 = ₹1,00,000

- 📌 Preventive health checkup included (₹5,000 within overall limit)
- 📌 Premium must be paid by any mode other than cash
- 📌 Policy can be for self, spouse, dependent children & parents

Behind every successful business decision, there is always a **CMA**



HRA — House Rent Allowance Deduction



HRA is exempt to the extent of the **LOWEST** of the following three amounts:

1

**Actual HRA
Received**

As per salary slip

2

**50% of Basic
(Metro) / 40% (Non-Metro)**

Metro: Delhi, Mumbai, Chennai, Kolkata

3

**Actual Rent Paid
– 10% of Basic**

(Rent paid per month × 12) – 10% of Basic
Annual

Example Calculation:

Basic: ₹40,000/m | HRA: ₹18,000/m | Rent: ₹15,000/m | City: Non-Metro

① Actual HRA: ₹2,16,000 | ② 40% of Basic (₹4,80,000) = ₹1,92,000 | ③ Rent – 10% Basic = ₹1,80,000 – ₹48,000 = ₹1,32,000
⇒ HRA Exempt = ₹1,32,000

Behind every successful business decision, there is always a **CMA**



Home Loan Tax Benefits — Section 24(b) & 80C



Section 24(b)

Interest Component

Max Limit:

₹2,00,000

Old Regime Only (Self-Occupied)

Deduction on interest paid on home loan during the year. For let-out property, no limit applies.

Section 80C

Principal Repayment

Max Limit:

₹1,50,000

Old Regime Only (within 80C limit)

Principal repayment included in the overall ₹1.5L 80C bucket along with other eligible investments.

Section 80EE

First-Time Buyer Additional Interest

Max Limit:

₹50,000

Old Regime (Over & Above 24b)

Loan $\leq$ ₹35L, Property value $\leq$ ₹50L. Extra ₹50,000 deduction on interest beyond 24(b).

⚠ In New Regime: Home loan interest on self-occupied property is NOT deductible. For let-out property, interest is still deductible against rental income.

Behind every successful business decision, there is always a **CMA**



NPS, Education Loan & Other Key Deductions



80CCD(1B) — NPS Self Contribution

₹50,000

Old Regime Only

Additional deduction over and above 80C for NPS (National Pension System).
Total benefit: ₹2,00,000 (₹1.5L + ₹50K).

80CCD(2) — Employer NPS Contribution

Up to 10% of Basic

Both Regimes ✓

Employer's NPS contribution on your behalf is deductible. Available in BOTH regimes — very valuable in New Regime!

80E — Education Loan Interest

No Upper Limit

Old Regime Only

Interest paid on loan taken for higher education of self, spouse or children.
Deductible for 8 consecutive years or until interest is paid, whichever is earlier.

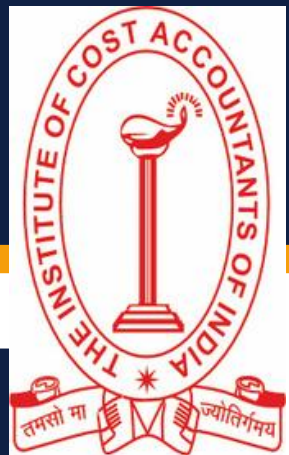
80G — Charitable Donations

50% or 100%

Old Regime Only

Donations to PM Relief Fund, CARES Fund, approved NGOs. 100% for national causes, 50% for others. Cash donations above ₹2,000 not eligible.

Standard Deduction — Available in BOTH Regimes

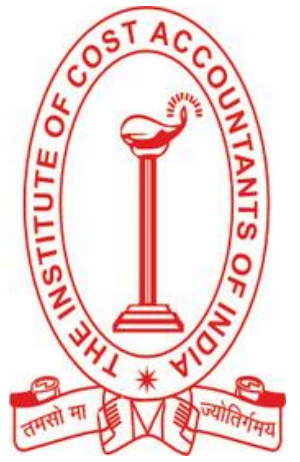


₹75,000

Standard Deduction for Salaried Employees & Pensioners
(Increased from ₹50,000 to ₹75,000 from FY 2024-25 in New Regime)

Who Gets It?	All salaried employees, retired pensioners drawing pension from former employer
Old Regime	₹50,000 standard deduction available
New Regime	₹75,000 standard deduction available (FY 2024-25 onwards)
Family Pension	₹25,000 standard deduction for family pension recipients in New Regime
No Proof Needed	Automatic — no bills, receipts or documents required to claim

SECTION 05



Deductions in New Regime

Limited but still meaningful exemptions available

Behind every successful business decision, there is always a **CMA**



Deductions Still Available Under New Regime



Standard Deduction

Limit: ₹75,000

Salaried & Pensioners

Section 10(10D) — LIC

Limit: Full amount

Life insurance maturity proceeds

VRS Compensation

Limit: Up to ₹5,00,000

Voluntary retirement scheme

Family Pension Deduction

Limit: ₹25,000

Recipients of family pension

80CCD(2) — Employer NPS

Limit: 10% of Basic

Salaried employees

Gratuity

Limit: Up to ₹20,00,000

On retirement / death

Leave Encashment

Limit: Up to ₹25,00,000

At retirement (government employees)

Agniveer Corpus Fund

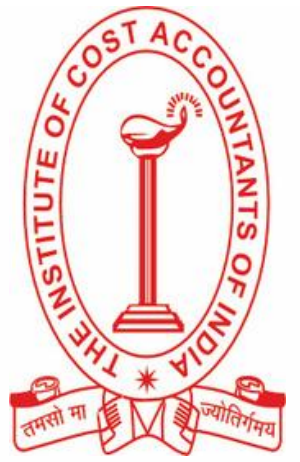
Limit: Full amount

Agniveer scheme payouts

Behind every successful business decision, there is always a **CMA**



SECTION 06



Comparative Tax Calculator

Old Regime vs New Regime — Side-by-side worked examples

Behind every successful business decision, there is always a **CMA**



Calculator Example 1 — Annual Income: ₹8,00,000



Assumptions: Salary ₹8L | 80C investments ₹1.5L | Health Insurance ₹25,000 | Rent paid (HRA) ₹1.2L | Salaried Employee

	Particulars	Old Regime (₹)	New Regime (₹)
A	Gross Total Income	8,00,000	8,00,000
B	Standard Deduction	(50,000)	(75,000)
C	Section 80C	(1,50,000)	—
D	Section 80D	(25,000)	—
E	HRA Exemption	(80,000)	—
F	Net Taxable Income	3,95,000	7,25,000
G	Income Tax	7,250	42,500
H	Health & Edu Cess @4%	290	1,700
I	Total Tax Payable	7,540	44,200

VERDICT

Old Regime
WINS!

Savings:

₹36,660

less tax under
Old Regime

Because high deductions
make Old Regime better

Behind every successful business decision, there is always a CMA



Calculator Example 2 — Annual Income: ₹12,00,000



Assumptions: Salary ₹12L | Minimal investments (80C: ₹50K only) | No HRA | No home loan | Self employed or no tax-saving

	Particulars	Old Regime (₹)	New Regime (₹)
A	Gross Total Income	12,00,000	12,00,000
B	Standard Deduction	(50,000)	(75,000)
C	Section 80C	(50,000)	—
D	Other Deductions	—	—
F	Net Taxable Income	11,00,000	11,25,000
G	Income Tax	1,72,500	1,37,500
H	Health & Edu Cess @4%	6,900	5,500
I	Total Tax Payable	1,79,400	1,43,000

VERDICT

New Regime
WINS!

Savings:

₹36,400

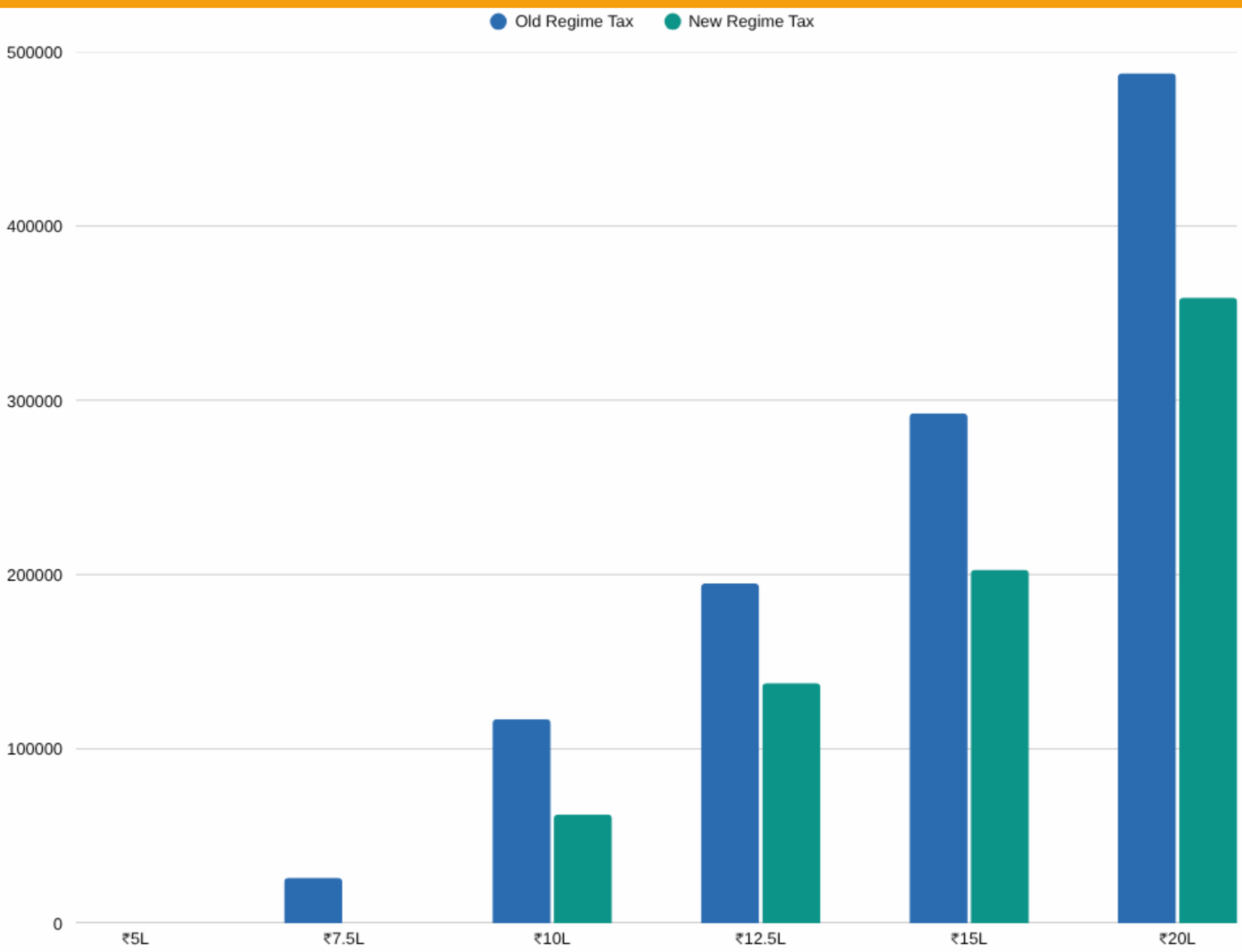
less tax under
New Regime

When deductions are
low, New Regime wins



Behind every successful business decision, there is always a CMA

Break-Even Analysis — When Does Old Regime Become Better?



Income < ₹7L

New Regime better — rebate makes tax zero for New Regime

₹7L – ₹10L

Depends on deductions claimed. Run actual numbers.

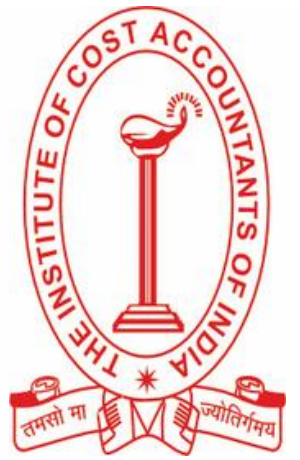
Income > ₹10L

Old Regime likely better if you maximize 80C + 80D + HRA

Above numbers assume max 80C (₹1.5L) + 80D (₹25K) in Old Regime

Behind every successful business decision, there is always a **CMA**





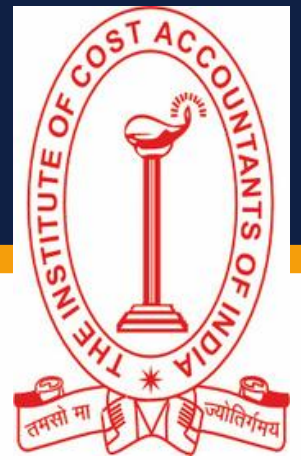
Who Should Choose Which Regime?

A practical decision guide based on your financial profile

Behind every successful business decision, there is always a **CMA**



Choose Old Regime If... vs Choose New Regime If...



✓ Choose OLD REGIME if you have:

- ▶ Home Loan (claiming interest + principal deductions)
- ▶ Large HRA (paying significant rent)
- ▶ Maxed out 80C investments (₹1.5L)
- ▶ Health insurance premiums (80D)
- ▶ NPS contributions for extra ₹50,000 deduction
- ▶ Education loan interest (80E) for children/self
- ▶ Income above ₹10L with multiple deductions
- ▶ Total deductions exceed ₹2.5 – 3 Lakhs

✓ Choose NEW REGIME if you have:

- ▶ Income below ₹7L (zero tax with rebate)
- ▶ Minimal investments or new earner
- ▶ No home loan or rented accommodation
- ▶ No HRA or own house
- ▶ Prefer simplicity over tax planning
- ▶ Employer contributes to NPS (80CCD(2) still available)
- ▶ Self-employed with fewer allowable deductions
- ▶ Total deductions less than ₹1.5 Lakhs

Behind every successful business decision, there is always a **CMA**



Break-Even Deduction Level — Old Regime vs New Regime



If your total deductions exceed the 'Break-Even' value for your income, Old Regime saves more tax

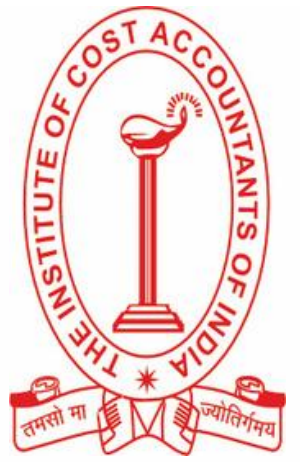
Income Level	Break-Even Deduction	If Deductions > Break-Even	If Deductions < Break-Even
₹5,00,000	~₹50,000	Old Regime Better	New Regime Better (₹0 tax)
₹7,50,000	~₹1,00,000	Old Regime Better	New Regime Better
₹10,00,000	~₹2,00,000	Old Regime Better	New Regime Better
₹12,00,000	~₹2,50,000	Old Regime Better	New Regime Better
₹15,00,000	~₹3,25,000	Old Regime Better	New Regime Better
₹20,00,000	~₹4,25,000	Old Regime Better	New Regime Better

⚠ These are approximate figures. Always compute actual tax with your specific deduction profile before deciding.

Behind every successful business decision, there is always a CMA



SECTION 08



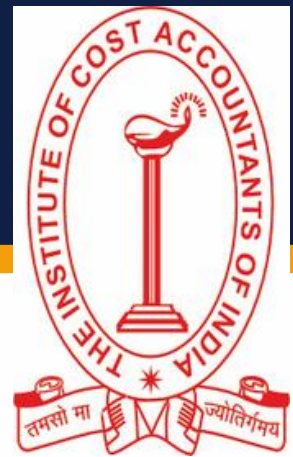
Tax-Saving Tips & Strategies

Maximizing deductions intelligently

Behind every successful business decision, there is always a **CMA**



Top 10 Tax-Saving Strategies (Old Regime)



01

Max out 80C first

Invest ₹1,50,000 annually in EPF + PPF + ELSS combination for diversified, tax-free growth

03

Buy health insurance

Family floater policy ₹25,000 + parents policy ₹50,000 = ₹75,000 deduction under 80D

05

Plan home loan timing

Under construction property: interest during construction can be claimed in 5 equal instalments post-possession

07

Utilize education loan

80E interest deduction has NO upper limit — could save significantly for high-value loans abroad

09

Submit investment proofs timely

Ensure all proofs submitted to employer before March to avoid excess TDS deduction

02

Add NPS for extra ₹50K

Section 80CCD(1B): invest ₹50,000 in NPS to save ₹15,600 additional tax (at 30% slab)

04

Optimize HRA if renting

Ensure HRA structure in salary is optimal; pay rent to spouse in own name only with caution

06

Donate strategically

Donate to PM CARES, PMNRF for 100% deduction (no 10% of GTI limit for these funds)

08

Check employer NPS benefit

Even under New Regime, employer's NPS contribution (10% of basic) is tax-free

10

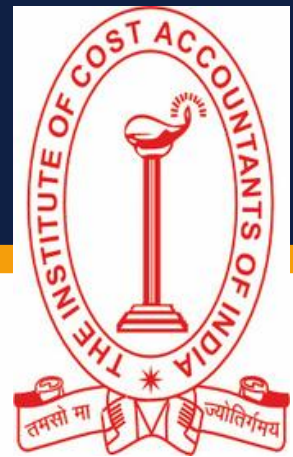
Compare regimes every year

Circumstances change annually — compare both regimes each April before your employer asks for declaration



Behind every successful business decision, there is always a **CMA**

Final Summary — Old Regime vs New Regime at a Glance

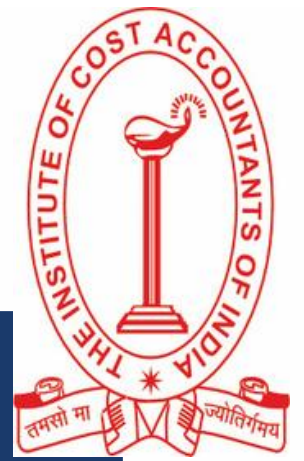


Feature	Old Tax Regime	New Tax Regime (Sec 202)
Tax Slabs	3 slabs (5%, 20%, 30%)	6 slabs (5%–30%, lower rates)
Standard Deduction	₹50,000	₹75,000
Section 80C	✓ Up to ₹1,50,000	✗ Not Available
Section 80D	✓ Up to ₹1,00,000	✗ Not Available
HRA Exemption	✓ As per formula	✗ Not Available
Home Loan Interest	✓ ₹2,00,000	✗ Not Available (Self-occupied)
NPS (80CCD(1B))	✓ ₹50,000 extra	✗ Not Available
Employer NPS (80CCD(2))	✓ Available	✓ Available
Zero Tax Threshold	Up to ₹5,00,000	Up to ₹7,00,000
Complexity	Higher (needs planning)	Lower (simpler filing)
Best For	High deduction filers	Minimal deduction / lower income

Behind every successful business decision, there is always a **CMA**



Key Takeaways



1 New Regime is DEFAULT from FY 2023-24. Opt out to use Old Regime.

2 New Regime gives zero tax up to ₹7L income — great for new earners.

3 Old Regime is better when total deductions exceed ~₹2.5–3L.

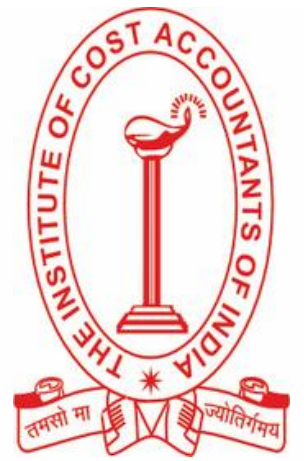
4 Standard deduction ₹75,000 is available in BOTH regimes now.

5 Employer NPS contribution (80CCD(2)) benefits BOTH regimes.

6 Always compare BOTH regimes each year before making declaration.

Behind every successful business decision, there is always a **CMA**





Schedule VI-A & Form 12BB

Complete Forms Walkthrough for Employee Declaration

A step-by-step guide: what to fill, where to fill it, what proofs to attach

4 Parts

Form 12BB Structure

15+

Sections in Sch VI-A

₹5.5L+

Max Deductions Possible

July 31

ITR Filing Deadline

FY 2024-25 · AY 2025-26 · Rule 26C — Income Tax Rules 1962

Behind every successful business decision, there is always a **CMA**



Slide Agenda at a Glance

Each module builds on the previous — read in order for best understanding

01–04

Foundations

Why Form 12BB & Sch VI-A exist, legal basis, who must file

05–09

Form 12BB — Part A: HRA

House Rent Allowance declaration, landlord PAN, HRA formula

10–13

Form 12BB — Part B: LTA

Leave Travel Allowance, block periods, proof rules

14–17

Form 12BB — Part C: Home Loan

Section 24(b) interest declaration, lender PAN, property type

18–22

Form 12BB — Part D: Chapter VI-A

80C, 80CCD, 80D, 80E, 80G and all other sections

23–26

Schedule VI-A in ITR

ITR field mapping, what is pre-filled, how to verify

27–29

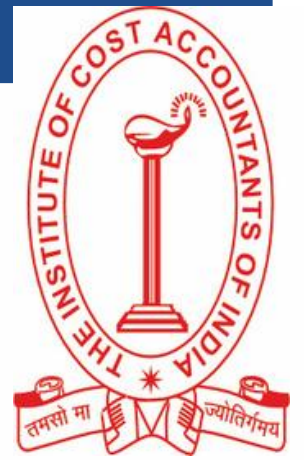
Compliance & Errors

Common mistakes, revision rules, scrutiny red flags

30

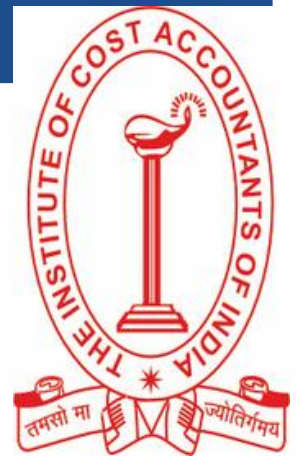
Quick Reference Summary

All limits, forms, deadlines and key rules on one slide



Why Form 12BB Was Created

The legal basis for standardised employee investment declaration



1

Before 2016

No standard form. Employers used internal forms. ITD had no consistency. TDS computation varied.

2

April 2016

Rule 26C inserted in IT Rules 1962. Form 12BB notified as the official declaration form.

3

From 2016+

Every salaried employee must submit Form 12BB to employer. Employer computes TDS based only on declared amounts.

4

Now (2024)

Updated Form 12BB includes NPS (80CCD), 80G donation details, and senior citizen flags for 80D.

Behind every successful business decision, there is always a **CMA**



Form 12BB vs Schedule VI-A — Key Differences

Two different forms, two different purposes — understand both clearly

FORM 12BB

What it is:	Declaration submitted to your EMPLOYER during the year
Legal basis:	Rule 26C of Income Tax Rules 1962
When to submit:	Beginning of FY (April), revised in November & January–Feb
Filed with:	Your employer / HR / payroll department
Purpose:	Employer computes correct TDS from salary each month
Consequence:	Wrong declaration → wrong TDS → tax payable or refund at year end
Proofs required:	Rent receipts, LIC receipt, health insurance, loan certificate etc.
Format:	Fixed format notified by CBDT — cannot use custom format

SCHEDULE VI-A (in ITR)

What it is:	Schedule in your annual Income Tax Return (ITR form)
Legal basis:	Income Tax Act 1961 — Chapter VI-A (Sections 80C to 80U)
When to submit:	Once a year, at ITR filing (due July 31 for individuals)
Filed with:	Income Tax Department via e-filing portal (incometax.gov.in)
Purpose:	Final, authoritative claim for all deductions for the year
Consequence:	Incorrect filing → demand notice / scrutiny / penalty
Proofs required:	Not attached to ITR but kept for 6 years for potential scrutiny
Format:	Part of ITR-1, ITR-2, ITR-3, ITR-4 — section varies by ITR type

4 / 30



Behind every successful business decision, there is always a **CMA**



Form 12BB — Four-Part Structure

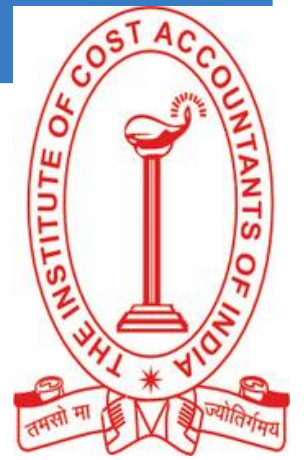
Every employee must complete each applicable section before submitting to employer

Form 12BB must be submitted to your employer by April (new FY) and again when investments change. It has 4 mandatory parts. If a section doesn't apply (e.g., you don't pay rent), write 'Not Applicable'. Never leave sections blank.



PART A	PART B	PART C	PART D
House Rent Allowance (HRA) <i>Slides 6–9</i> - Rent paid per month - Landlord name & address - Landlord PAN (if rent >₹1L/year) - Period of tenancy	Leave Travel Allowance (LTA) <i>Slides 10–13</i> - Nature of claim - Journey dates & route - Mode of transport + tickets - Family members travelled	Home Loan Interest — Sec 24(b) <i>Slides 14–17</i> - Lender name & complete address - Lender's PAN (mandatory) - Property type — self/let-out - Interest amount for the year	Chapter VI-A Deductions <i>Slides 18–22</i> 80C: LIC, PPF, ELSS, EPF, NSC... 80CCD(1B): NPS Tier-I extra ₹50K 80D: Health insurance premium 80E, 80G, and all other sections





Part A — HRA Declaration: The Basics

Understanding the HRA exemption before filling the form

HRA (House Rent Allowance) is exempt from tax under Section 10(13A) — NOT under Chapter VI-A. The exemption equals the LEAST of three amounts. Employees must declare rent details so employer applies the correct exemption while computing monthly TDS.

HRA Exempt = Minimum of these three:

Formula A	Formula B	Formula C
Actual HRA received from employer As per salary slip / CTC letter	50% of Basic Salary (Metro) OR 40% of Basic (Non-metro) Metro = Delhi, Mumbai, Kolkata, Chennai	Actual Rent Paid MINUS 10% of Basic Salary i.e., rent above the 10% threshold

Worked Example:

Basic Salary: ₹60,000/month | HRA Received: ₹24,000/month | Rent Paid: ₹28,000/month | City: Bangalore (Non-metro)

Formula A = ₹24,000 | Formula B = $40\% \times ₹60,000 = ₹24,000$ | Formula C = $₹28,000 - 10\% \times ₹60,000 = ₹22,000$

→ HRA Exempt = Minimum(₹24,000, ₹24,000, ₹22,000) = ₹22,000/month = ₹2,64,000/year



Part A — Field-by-Field: What to Write

Exactly what to enter in each row of Part A of Form 12BB

1. Name of Landlord

Full legal name as on PAN card / rent agreement. If multiple landlords in the year, list each separately.

2. Address of Landlord

Complete postal address with pin code. Post Office Box is not sufficient — full residential/commercial address needed.

3. PAN of Landlord

Mandatory ONLY if annual rent paid exceeds ₹1,00,000. If PAN not available, file Form 60 with landlord's signature.

⚠ **Missing PAN for rent >₹1L: Employer CANNOT give HRA exemption**

4. Monthly Rent Amount

Actual rent per month as per agreement. If rent changed mid-year, show different amounts for different periods.

5. Period of Occupation

From and To dates (DD/MM/YYYY). If renting the same house all year, write 01/04/YYYY to 31/03/YYYY.

6. Self-Declaration

Sign and date the form confirming the information is accurate. False declaration is a punishable offence under Section 277.

⚠ **Paying rent to spouse/parents: Allowed, but must be genuine — bank transfer, proper agreement, rent receipts**



Part A — Proofs Required & Special Rules

What documents to keep and common HRA scenarios explained

Rent Receipts

Monthly or quarterly rent receipts signed by landlord. Must include: date, amount, period, landlord name + signature, property address, revenue stamp (if >₹5,000/receipt).

PAN of Landlord

Copy of landlord's PAN card. Required only when annual rent exceeds ₹1,00,000. Submit alongside Form 12BB. Employer will not process HRA without this for high-rent cases.

Rent Agreement

Registered or notarised rent/lease agreement. Strongly recommended. Contains start date, monthly rent, security deposit, and landlord–tenant signatures.

Bank Statements

Proof of actual rent payment via banking channel — NEFT, UPI, cheque. Cash rent is acceptable but bank proof strongly recommended. Especially important if rent is paid to a parent.

Special Scenarios:

- Rent to parents: Allowed if parents own the property. Must be paid via bank transfer. Parents show it as rental income in their ITR. Keep agreement.
- Shared accommodation: Each person declares their share of rent. Total rent ÷ number of occupants = your rent. Get individual receipts from landlord.
- Year-end mismatch: If you only submit proofs in Jan–Feb (instead of April), employer may have under-deducted TDS — shortfall recovered in March salary.



Part A — HRA: Mistakes That Cost You Money

Avoid these errors — they result in higher TDS or deduction denial

HIGH RISK — #1

Not submitting landlord PAN for rent > ₹1 Lakh/year

Fix: Collect landlord's PAN before filing Form 12BB. If landlord refuses, file Form 60. Without PAN, employer treats full HRA as taxable.

HIGH RISK — #2

Claiming HRA and 80GG simultaneously

Fix: Section 80GG is for taxpayers who do NOT receive HRA. If your salary structure includes HRA, you must claim HRA exemption — not 80GG.

MEDIUM RISK — #3

Showing wrong city category (Metro vs Non-metro)

Fix: Metro cities for HRA purposes: Delhi, Mumbai, Kolkata, Chennai only. Bangalore, Hyderabad, Pune = Non-metro = 40% of basic, not 50%.

MEDIUM RISK — #4

Not updating Form 12BB when rent changes mid-year

Fix: File a revised Form 12BB when rent amount changes. Employer adjusts TDS from next month. Year-end adjustment can cause high March TDS.

CRITICAL RISK — #5

Claiming HRA without actual rent payment

Fix: HRA exemption requires actual payment. Declaring rent without paying it is a false declaration punishable under Section 277 (up to 7 years imprisonment).

LOW RISK — #6

Using cash for rent > ₹2,000 without proper receipt

Fix: Cash payments are allowed for HRA purposes but maintain stamped receipts. Bank transfer is much safer and provides undeniable proof.



Part B — Leave Travel Allowance (LTA)

Tax exemption on travel costs during leave — old regime only

LTA (Section 10(5)) exempts actual travel costs during leave for journeys within India. The exemption covers fare for the shortest route. It is available in the OLD REGIME only — not in new tax regime.

Block Period Rule

LTA can be claimed for 2 journeys in a block of 4 calendar years. Current block: 2022–2025. One unclaimed journey can be carried to the first year of the next block.

Who is Covered

Taxpayer + Spouse + Dependent children (max 2 for post-Oct 1998 births — older children all included) + Dependent parents and siblings.

What Travel Qualifies

Only journeys within India. Air/rail/bus travel to any destination in India. International travel does NOT qualify for LTA exemption under any circumstances.

What Costs Are Exempt

ONLY the travel fare (airfare, train ticket, bus ticket) for the shortest route. Hotel, food, local transport, sightseeing, baggage — none of these qualify.

Mode of Transport & Limits

Air: Economy class airfare (cheapest available on that route). Rail: AC First class fare. Other: First class / deluxe bus fare. Always shortest route.

Actual Journey Required

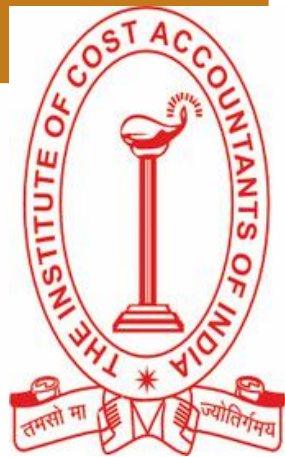
The journey must have actually happened. Income Tax Officers do verify. False claims = Section 277 prosecution. Keep all tickets, boarding passes, PNR records.



Part B — Field-by-Field: What to Write in LTA Section

Exactly what information to enter in Part B of Form 12BB

Nature of entitlement	Write the type of LTA: 'Exemption for FY 2024-25' or 'Journey 1 of block 2022-2025' or 'Carry-forward from 2018-2021 block'
Journey From	Starting point of journey. Should be your city of residence/posting. E.g., 'Delhi' or 'Bengaluru'
Journey To	Destination of travel. E.g., 'Goa' or 'Shimla' or 'Kochi'. Multiple stopovers — mention all. Shortest route is what counts for exemption.
Date of Journey (Outward)	DD/MM/YYYY format. Outward journey date. Must fall within the leave period approved by employer.
Date of Journey (Return)	DD/MM/YYYY format. Return journey date. Both outward and return travel costs qualify.
No. of persons travelled	Total count including employee. E.g., 'Self + Spouse + 2 children = 4 persons'. List each family member by name and relation if required by employer.
Amount of exemption claimed	Actual travel cost OR the applicable cap (Economy airfare / AC 1st class rail / Deluxe bus) — whichever is LOWER. Do not include hotel or food costs.
Proof of journey	Mention the proof type: 'Air tickets + boarding passes', 'Railway tickets', 'Bus tickets'. Submit physical/digital copies to employer when asked.



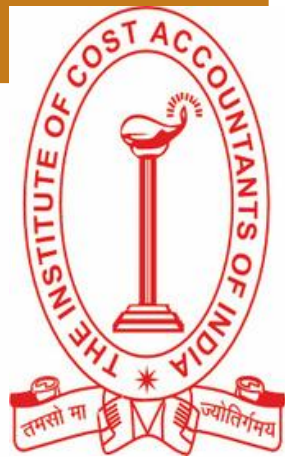
LTA Block Periods & Carry-Forward Rules

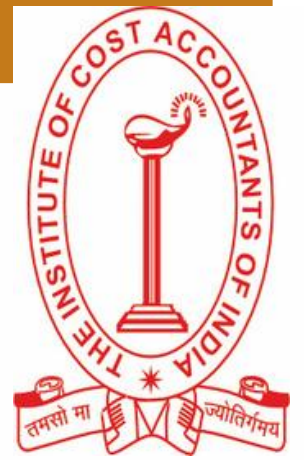
Planning when to use your 2 LTA claims across the 4-year block

LTA Block Timeline (4-year blocks notified by Govt):

2018–2021	2022–2025 ← CURRENT BLOCK	2026–2029
J1 J2	J1 J2	J1 J2
2 journeys per block You can claim LTA for up to 2 journeys in any 4-year block. Both can be in the same year or spread across the block.	Employer approval needed Leave must be approved by employer before travel. LTA can only be claimed for journeys taken during sanctioned leave periods.	
Carry-forward (1 journey) If you miss 1 journey in the 2022-2025 block, it can be carried to the FIRST year (2026) of the next block — making 3 claims in 2026-2029.	FY vs Calendar year LTA block is based on CALENDAR years (Jan-Dec), not financial years. The 2022-2025 block runs from Jan 1, 2022 to Dec 31, 2025.	
Not claimed = lost (usually) If you miss BOTH journeys in a block — both are lost. Only 1 journey can be carried forward. Plan to use at least 1 journey per block.	Exemption in ITR vs Form 12BB Form 12BB → employer adjusts TDS. Even if not claimed via employer, you can claim LTA exemption directly in your ITR and get refund.	

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Part B — LTA Proofs to Submit to Employer

Documentation that validates your travel claim

Air Travel

1

Economy class e-tickets + boarding passes for all passengers. PNR confirmation emails acceptable. Download and save from airline app immediately after travel.

Passenger List

4

Document showing who travelled. Employer may ask for: names + relations of all family members who travelled. Keep birth certificates for children.

Train Travel

2

Railway tickets (printed or digital). E-tickets from IRCTC with PNR. Journey must be in AC First class for maximum exemption — but any class works.

Leave Sanction Letter

5

Print/save your employer's leave approval email or letter. Dates of leave must overlap with journey dates. This is the most important cross-reference document.

Road Travel

3

Bus tickets for state-run or private deluxe bus. For self-drive: toll receipts, hotel bills along route as corroborating proof. No exemption for petrol costs.

Return Journey Proof

6

Same documents for return leg — both onward and return fares are eligible. One-way trip: only one-way fare qualifies. Keep return ticket/boarding pass too.



Part C — Home Loan Interest: Section 24(b)

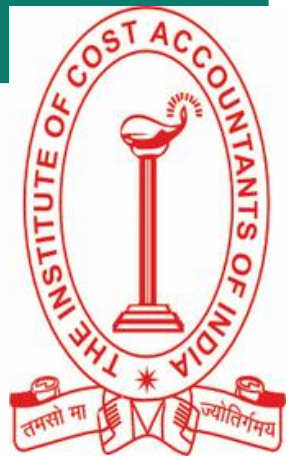
Declaration of housing loan interest for employer TDS adjustment

Section 24(b) allows deduction of interest paid on home loan from 'Income from House Property'. This reduces your taxable salary income when the net house property income (including loss) is set off. Available in OLD REGIME ONLY for self-occupied property.

Property Type	Deduction Limit	Old Regime	New Regime	Key Rule
Self-Occupied Property	₹2,00,000 per year	✓ Allowed	✗ Not Available	Loan must be post April 1, 1999
Pre-1999 Loan (Self-Occ)	₹30,000 only	✓ Allowed	✗ Not Available	Only ₹30K limit applies
Let-Out Property	Full interest (no cap)	✓ Allowed	✗ Not Available	Loss set-off vs other income capped at ₹2L
Under Construction	Pre-const. interest in 5 parts	✓ Allowed	✗ Not Available	Starts from year of possession
2nd Property (Self-Occ)	₹2,00,000 combined	✓ Allowed	✗ Not Available	Deemed let-out from AY 2019-20

How Part C affects your TDS:

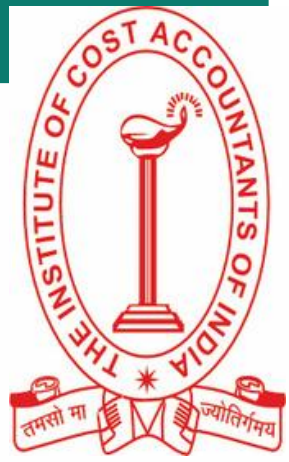
- Your employer needs to compute 'Income from House Property' to arrive at total taxable income. If your self-occupied property has a ₹2L interest deduction, this creates a LOSS of ₹2L from house property.
- This ₹2L loss is set off against your salary income — reducing taxable income and TDS. That's why Part C is in Form 12BB — it directly reduces TDS.
- Note: This is different from 80C (principal repayment) which goes in Part D. Interest goes in Part C; principal goes in Part D under 80C.



Part C — Field-by-Field: Home Loan Declaration

Exactly what to write in each row of Part C

1. Name of Lender	Full official name of the bank or housing finance company. E.g., 'State Bank of India', 'HDFC Ltd', 'LIC Housing Finance'. Not branch name.
2. Address of Lender	Registered head office or the branch address as mentioned in the loan sanction letter. Include complete address with PIN.
3. PAN of Lender	10-digit PAN of the lending institution. MANDATORY for banks and financial institutions. Available on bank's website or loan statement. Do not leave blank.
4. Amount of Interest Payable/Paid	Total interest component for the financial year (April to March). Get from annual interest certificate issued by bank. This is the figure that goes in Part C.
5. Type of Property	Write 'Self-Occupied' or 'Let-Out'. If 2 properties — list both separately. For under-construction property where possession not yet received — do not claim yet.
6. Date of Loan Sanction	Date from loan sanction letter. Important because: post-April 1, 1999 loans get ₹2L limit; pre-1999 loans get only ₹30,000 limit.
7. Purpose of Loan	Write 'Purchase', 'Construction', 'Renovation', or 'Repair'. Each has different rules. Self-occupied renovation: ₹30,000 limit regardless of sanction date.
8. Proof Reference	Mention 'Annual Interest Certificate from [Bank Name]'. Attach a copy with Form 12BB. Employer WILL ask for this before adjusting TDS.



Reading Your Home Loan Annual Statement

Understanding the bank's interest certificate — the key proof for Part C

Every bank issues an annual home loan statement (usually by April–May). This is the MOST important document for Part C. It shows EMI breakup for the full financial year — interest vs principal — and must be attached with Form 12BB.

Opening Balance

Outstanding loan at start of FY (April 1). Used to verify outstanding amount — not directly needed for Part C.

Total EMIs Paid

Sum of all EMIs paid during the FY. This is $\text{EMI} \times 12$ (or number of months). Not the figure to use in Part C.

Interest Component (USE THIS)

Total interest paid during the FY. This is the figure for Part C of Form 12BB. It reduces your taxable income from house property.

Principal Component (USE FOR 80C)

Total principal repaid during the FY. This goes in Part D under Section 80C, not Part C. Do NOT mix them up.

Closing Balance

Outstanding loan at end of FY (March 31). Not needed for Form 12BB — useful for your own tracking.

Prepayment / Foreclosure

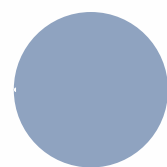
If you made extra payments — the interest component for those months also qualifies. All interest paid in the FY is eligible.



Pre-Construction Interest — Special Rule

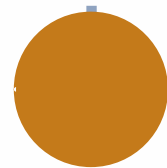
Interest paid before possession — how to declare and claim it

If you took a home loan for an under-construction property — interest paid from the date of loan to the date of possession is called 'Pre-construction interest'. This is deductible in 5 EQUAL instalments starting from the year of possession. Must be declared in Form 12BB once you get possession.



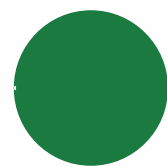
Loan Taken

EMIs start. Interest accumulates. NO deduction yet.



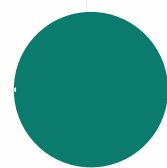
Under Construction

Property being built. Continue paying EMIs. No possession.



Possession Received

Get Completion Certificate. Start claiming deductions.



Year 1 to Year 5

Claim 1/5th of total pre-construction interest each year.

Worked Example:

● Loan taken: April 2020 | Total interest paid before possession (2020–2022): ₹4,50,000 | Possession received: April 2022

● Pre-construction interest installment = $\text{₹}4,50,000 \div 5 = \text{₹}90,000$ per year for 5 years (FY 2022-23 to 2026-27)

● In Form 12BB Part C for FY 2024-25: Write ₹90,000 (pre-construction instalment) PLUS current year interest (say ₹1,60,000) = Total ₹2,50,000 → capped at ₹2,00,000 for self-occupied

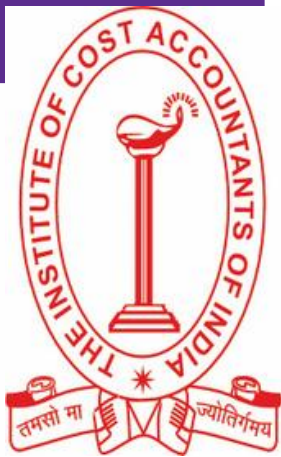


Part D — Chapter VI-A: All Deductions in One Place

The most comprehensive part of Form 12BB — every section mapped

Part D is where employees declare ALL Chapter VI-A investments — 80C, 80CCC, 80CCD, 80D, 80E, 80G and more. The information here determines how much TDS your employer deducts from salary. Each section must be declared SEPARATELY with the correct amount.

Section	What it covers	Max Limit	Key Proof Required
80C	LIC premium, EPF, PPF, ELSS, NSC, SSY, tuition fees, home loan principal	₹1,50,000	Receipts, passbook, ELSS statement
80CCC	Pension fund contribution (LIC pension, annuity plans)	Within ₹1.5L	Premium receipt + policy certificate
80CCD(1)	Own NPS Tier-I contribution (within the 80C cap)	Within ₹1.5L	NPS transaction statement (PRAN)
80CCD(1B)	EXTRA NPS Tier-I — additional deduction outside 80C cap	₹50,000 extra	NPS statement — Tier-I account
80CCD(2)	Employer's NPS contribution on your behalf	14%/10% of basic	Employer payslip / NPS certificate
80D	Health insurance premium — self+family and separately for parents	₹25K–₹1L	Insurance premium receipt + policy
80E	Interest on education loan (higher education — self/children/spouse)	No limit	Annual interest certificate from lender
80G	Donations to approved charitable funds and institutions	50–100%	Donation receipt + Form 10BE from donee
80TTA	Interest from savings bank accounts (non-senior citizens)	₹10,000	Bank statement showing interest credited
Others	80GG, 80DD, 80DDB, 80U, 80EEA, 80EEB, 80RRB etc. as applicable	Varies	Relevant certificates / receipts



Declaring 80C Investments in Form 12BB

How to correctly enter each 80C instrument with proof reference

Life Insurance Premium (LIC / any insurer)

What: Premium paid during FY for policies on self, spouse, children.

Proof: Premium receipt with policy number. Note insurer name and amount.

Tip: Only THIS year's premium. Renewal overdue from last year NOT eligible.

Employee Provident Fund (EPF)

What: Employee's share auto-deducted from salary. Already known to employer.

Proof: EPF passbook or Form 16 Part B. Usually auto-populated by employer.

Tip: Only YOUR (employee) share qualifies. Employer's EPF is separate.

Public Provident Fund (PPF)

What: Contributions made to PPF account at Post Office or Bank.

Proof: PPF passbook showing deposit / bank transaction statement.

Tip: Max ₹1.5L per year across ALL PPF accounts combined.

ELSS Mutual Funds

What: Equity Linked Savings Scheme SIP or lump-sum investments.

Proof: Consolidated Account Statement (CAS) from CAMS/KFintech with folio no.

Tip: 3-year lock-in per SIP installment. Each month's SIP has its own lock-in.

NSC / Tax-Saver FD / SCSS

What: National Savings Certificates, 5-year bank FDs, Senior Citizen Savings.

Proof: NSC certificate / FD receipt / SCSS passbook with deposit date.

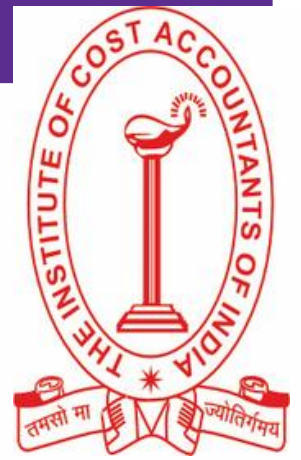
Tip: NSC interest in years 2–5 also qualifies as fresh 80C (deemed investment).

Home Loan Principal + Tuition Fees

What: Principal repaid (from bank statement) + children's full-time tuition.

Proof: Home loan statement (principal column) + school/college fee receipts.

Tip: Stamp duty & registration also eligible under 80C in year of purchase.



Declaring NPS in Form 12BB — Three Different Sections

80CCD(1), 80CCD(1B), and 80CCD(2) — each goes in a different place

80CCD(1)

Own NPS Contribution — within 80C cap

Your own voluntary contribution to NPS Tier-I account. This is within the overall ₹1,50,000 cap shared with 80C. Enter in Part D under 80C combined section. In practice, most employers merge this within the ₹1.5L limit.

PROOF: NPS Transaction Statement from CRA (NSDL or Protean). Shows Tier-I contributions. Download from NPS portal (enps.nsdl.com) or CRA portal.

LIMIT: Up to 10% of salary (salaried) or 20% of GTI (self-employed). Within ₹1.5L combined 80C cap.

80CCD(1B)

Extra NPS — SEPARATE from 80C, additional ₹50,000

This is the most powerful NPS deduction. An additional ₹50,000 deduction ENTIRELY OUTSIDE the ₹1.5L 80C cap. Must be declared SEPARATELY from 80C in Form 12BB. At 30% bracket this saves ₹15,600 extra tax.

PROOF: Same NPS Transaction Statement — but mark this as the ADDITIONAL contribution beyond the ₹1.5L. Employer needs separate declaration for this.

LIMIT: Fixed ₹50,000 extra. Available in OLD REGIME ONLY. Declare separately from 80C in Part D.

80CCD(2)

Employer's NPS contribution — BOTH REGIMES



Employer contributes to NPS on your behalf. This is available in BOTH old and new tax regimes — one of the very few deductions that survives in the new regime! The employee does NOT need to declare this — employer already knows.

PROOF: Shown in salary payslip / Form 16. No separate declaration needed from employee. Employer directly applies this deduction.

LIMIT: Central Govt: 14% of basic+DA. Private sector: 10% of basic+DA. No rupee cap.



Declaring 80D, 80E, 80G in Form 12BB

Health insurance, education loan, and donations — what to write

Section 80D — Health Insurance

Premium for Self+Family

Total premium for your health insurance policy for the year. Exclude GST if shown separately on receipt.

Premium for Parents

SEPARATELY declare parents' health insurance premium. Different field than self+family — employer needs to know if parents are senior citizens.

Senior Citizen Flag

Tick 'Yes' if self OR parents are 60+ years. This determines whether ₹25,000 or ₹50,000 limit applies.

Preventive Check-up

Amount spent on preventive health check-up (within the overall 80D limit). Max ₹5,000. Can be paid in cash — no receipt mandatory for check-up sub-head.

Section 80E — Education Loan Interest

Lender Name

Name of bank/NBFC that gave the education loan. NOT employer, NOT friends/family — must be financial institution.

Loan Account No.

Education loan account number. Mentioned on your interest certificate from the bank.

Interest Amount Paid

Total interest paid during the FY (April to March). Get from annual interest certificate. NO LIMIT — enter full amount.

Nature of Course

Some employers ask for course type: 'Full-time graduate course at IIT Delhi' or 'MBBS'. Keep admission letter handy.

Section 80G — Donations

Name of Donee Organisation

Full registered name of the fund/trust/institution. E.g., 'Prime Minister's National Relief Fund' or 'CRY — Child Rights and You'.

PAN of Donee

10-digit PAN of the donee institution — mandatory. Available on 80G certificate or income tax portal. Without PAN, claim may be rejected.

80G Registration Number

The unique 80G registration number and validity period. Verify on incometax.gov.in before donating. Expired registration = no deduction.

Amount Donated

Actual cash donated via bank channel. Cash above ₹2,000 does NOT qualify. Mention whether 100% or 50% deduction applies.



How to Complete & Submit Form 12BB

A step-by-step process from April declaration to February final proof



April — Initial Declaration

1

Start of FY. Submit Form 12BB with estimated investments for the year. Even estimates are fine — you can revise. Helps employer set correct monthly TDS from day one.

Gather All Documents

2

Collect actual proofs: Rent receipts, LIC receipts, PPF passbook, ELSS statement, health insurance receipt, NPS statement, education loan certificate.

Fill All Four Parts

3

Part A: HRA details. Part B: LTA (if applicable). Part C: Home loan interest + lender PAN. Part D: All 80C/80D/NPS/80G investments section-by-section.

Verify Amounts Carefully

4

Cross-check each amount against actual receipt/certificate. Common error: entering planned amounts instead of actually paid amounts. Only paid = claimable.

Sign and Date the Form

5

Self-certification at the bottom: 'I hereby declare that the particulars given above are true, correct, complete and are in accordance with the provisions of the Income-tax Act, 1961.'

Submit to Employer/HR

6

Submit physical or digital Form 12BB along with all proof documents. Most companies accept scanned copies via HRMS portal. Keep acknowledgement.

Nov–Dec: Revised Declaration

7

If investments changed from April estimate — submit revised Form 12BB. Employer adjusts TDS from next salary. Most companies allow at least 2 revisions.

Jan–Feb: Final Proof Submission

8

Submit all actual proofs for the year. Employer makes final TDS calculation. Over-deducted TDS → refund in ITR. Under-deducted → recovered from March salary.

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Schedule VI-A in ITR — Final Annual Declaration

From Form 12BB to ITR — how the journey completes

Schedule VI-A is the dedicated schedule in Income Tax Return (ITR) forms where taxpayers declare ALL Chapter VI-A deductions. It is the FINAL, authoritative record — not what you told your employer, but what you actually claim in your ITR filed with the Income Tax Department.

Which ITR forms contain Schedule VI-A?

ITR-1 (Sahaj), ITR-2, ITR-3, ITR-4 — all have Schedule VI-A. ITR-1 has a simplified version. ITR-2/3 have more comprehensive sections including 80-IA series deductions.

Is it pre-filled automatically?

From FY 2022-23, many fields are pre-filled based on Form 26AS, AIS (Annual Information Statement), and TIS (Taxpayer Information Summary). But always VERIFY before accepting pre-filled data.

Can you claim more in ITR than in Form 12BB?

YES. If you forgot to declare something in Form 12BB (employer took higher TDS), you can still claim it in Schedule VI-A of ITR. The excess TDS will become a refund.

Can you claim less than what employer deducted?

You can choose not to claim a deduction in ITR, but that would mean you lose the benefit. You cannot use the unclaimed deduction elsewhere — it doesn't carry forward (except carry-forward losses).

What happens if Schedule VI-A is wrong?

Income Tax Department compares your Schedule VI-A against Form 26AS and AIS. Mismatch triggers a demand notice. Scrutiny assessment may be opened for large discrepancies.

Is proof attached to ITR?

NO. Proofs are NOT attached to ITR. But they must be kept for 6 years (FY+6) in case of scrutiny or assessment. The Income Tax Officer can call for them during examination.



Schedule VI-A — Every Field Explained

Section	ITR Field Label	What to Enter	Cap / Note
80C	80C — Life insurance / PF / PPF / ELSS / NSC etc.	Total 80C investments made during FY. System auto-applies cap.	₹1,50,000 max
80CCC	80CCC — Pension fund	Contribution to LIC or approved pension fund. Within 80C cap.	Within ₹1.5L
80CCD(1)	80CCD(1) — Own NPS contribution	NPS Tier-I contribution (employee). Salaried: 10% of salary.	Within ₹1.5L
80CCD(1B)	80CCD(1B) — Additional NPS	SEPARATE field. Extra NPS contribution beyond ₹1.5L cap.	₹50,000 extra
80CCD(2)	80CCD(2) — Employer NPS	Employer's NPS contribution on your behalf. Auto-populated from Form 16.	14% or 10%
80D	80D — Health insurance premium	Self+family amount first, then parents' premium separately. Senior flag.	₹25K to ₹1L
80DD	80DD — Disabled dependent	Amount for dependent with disability. Fixed deduction, not expense-based.	₹75K/₹1.25L
80DDB	80DDB — Specified disease	Treatment cost for specified disease (cancer, kidney, AIDS etc.)	₹40K to ₹1L
80E	80E — Education loan interest	Full interest paid. Certificate from lender required.	No limit
80EEA	80EEA — First-time homebuyer	Extra home loan interest if loan sanctioned before Mar 2022.	₹1,50,000
80G	80G — Donations	Donee details + amount. Tick 100% or 50% category.	50–100%
80GGA	80GGA — Scientific research donation	Donations to approved research organisations.	100%
80TTA	80TTA — Savings interest	Savings account interest (non-senior). NOT FD interest.	₹10,000
80TTB	80TTB — All interest (senior)	All interest for senior citizens (savings + FD). Cannot claim 80TTA.	₹50,000
80U	80U — Self disability	Fixed deduction for taxpayer with own disability.	₹75K/₹1.25L



How to Verify Schedule VI-A Using AIS & Form 26AS

Cross-referencing your deductions with ITD data before submitting ITR

Form 26AS

Where: incometax.gov.in → Login → e-File → View Form 26AS

It Shows:

-  TDS deducted by employer (salary)
-  TDS on bank interest / FD
-  TDS on rent, professional fees
-  Self-assessment tax paid
-  Advance tax paid

Use For:

Verifying total TDS credit. If Form 26AS shows different TDS than Form 16 — contact employer to correct BEFORE filing ITR.

Annual Information Statement (AIS)

Where: incometax.gov.in → Login → Services → Annual Information Statement

It Shows:

-  All salary and TDS details
-  Interest income from banks
-  Dividend income
-  Mutual fund transactions (buy/sell)
-  SFT data: property, cash deposits, credit card

Use For:

Verify that income and deduction-relevant transactions match. AIS now includes NPS contributions, insurance premium payments.

Taxpayer Information Summary (TIS)

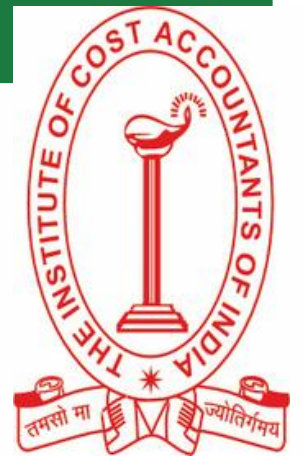
Where: Available within AIS — click 'Taxpayer Information Summary' tab

It Shows:

-  Simplified aggregated view of AIS
-  Tax-category-wise totals
-  Pre-filled ITR data derived from AIS
-  Comparison: as reported vs corrected values

Use For:

Quick scan before ITR filing. If TIS shows income not yours, raise an AIS feedback dispute to correct the record before filing.



Filing Schedule VI-A Online — Step-by-Step

How to navigate the income tax e-filing portal to enter deductions



1

Login to e-Filing Portal

Go to incometax.gov.in → Login with PAN + password. First time? Register your PAN, set password, link Aadhaar.

2

Select Assessment Year

e-File → Income Tax Returns → File Income Tax Return → Select AY 2025-26 (for FY 2024-25 income). Choose mode: Online (recommended).

3

Choose Correct ITR Form

ITR-1: Salary + one house + other income ≤ ₹50L. ITR-2: Capital gains / multiple properties / income > ₹50L. ITR-3: Business income. Use portal's suggestion tool.

4

Review Pre-filled Data

Portal pre-fills salary, TDS, AIS data. DO NOT accept blindly — verify each figure against Form 16. Correct any mismatch before proceeding.

5

Navigate to Schedule VI-A

In ITR-1: 'Computation of Income and Tax' tab → 'Deductions under Chapter VI-A'. In ITR-2/3: 'Schedule VI-A' in left navigation panel.

6

Enter Each Section

Click on each section (80C, 80CCD, 80D etc.) and enter exact amount. The portal auto-applies limits — e.g., 80C will cap at ₹1,50,000 automatically.

7

Compute Tax

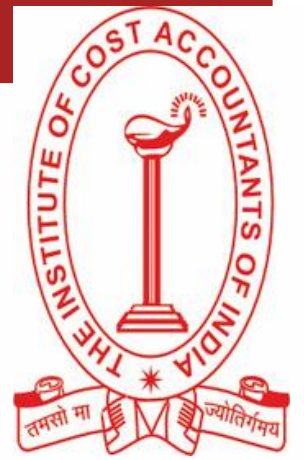
After filling all sections: Click 'Compute Tax' → Preview tax computation. Compare with Form 16. Any difference? Check which section has discrepancy.

8

Pay Tax if Due / Verify & Submit

If tax payable > ₹0 → Pay via challan (Sec 140A). Then submit ITR → e-Verify using Aadhaar OTP / Net banking / Demat. Done!





Top Mistakes — Schedule VI-A & Form 12BB

Avoid these errors that trigger demand notices and penalties

#01 · 80C

✗ **Entering planned amount instead of actually paid amount**

✓ **Fix:** Only investments made between April 1 and March 31 of the FY qualify. Planned ≠ Paid. A premium due in March but paid in April = next year's claim.

#02 · 80CCD(1B)

✗ **Merging extra NPS ₹50K within the ₹1.5L 80C field**

✓ **Fix:** 80CCD(1B) is a SEPARATE field. If you put ₹2,00,000 in the 80C field, the system caps it at ₹1,50,000 — you lose the ₹50K benefit. Use the dedicated 80CCD(1B) field.

#03 · 80D

✗ **Claiming health insurance premium paid in cash (>₹5,000)**

✓ **Fix:** Insurance premium above ₹5,000 paid in cash is not eligible. Pay via UPI/cheque/card. Only preventive health check-up (max ₹5,000) can be claimed in cash.

#04 · 80G

✗ **Donating to a fund whose 80G registration has expired**

✓ **Fix:** Always verify the donee's 80G status on incometax.gov.in before donating. Expired or unregistered donee = zero deduction no matter how much you donated.

#05 · Form 12BB

✗ **Not submitting landlord PAN when annual rent exceeds ₹1,00,000**

✓ **Fix:** Without landlord PAN, employer CANNOT give HRA exemption for rent above ₹1L/year. The full HRA becomes taxable — potentially ₹20,000+ extra TDS.

#06 · Form 16 mismatch

✗ **Schedule VI-A amount differs significantly from Form 16 Part B**

✓ **Fix:** Employer's Form 16 Part B reflects what was declared in Form 12BB. If ITR Schedule VI-A is different, expect notice. Always reconcile both before filing.

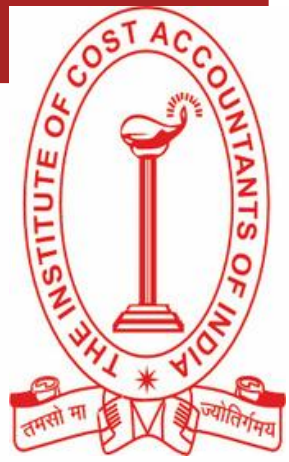


Revising Form 12BB — Rules & Timeline

When and how to revise your declaration to avoid TDS mismatches

Form 12BB is NOT a one-time submission. You should (and must) revise it whenever your investments change. Most employers allow 2-3 revision windows during the year. The final proof submission in January-February is the most important.

April	June–July	Oct–Nov	Jan–Feb	March	July
INITIAL Declaration Submit Form 12BB with estimates. Select old/new regime. Even rough estimates reduce TDS from month 1.	OPTIONAL Revision 1 If you bought new insurance, changed rental, or made new investments — revise Form 12BB.	OPTIONAL Revision 2 Mid-year check. Employer adjusts TDS from November salary. Good time if ELSS SIPs started.	FINAL Proof Submission Most critical. Submit ALL actual proofs for the FY. Employer computes final tax and adjusts remaining TDS.	EMPLOYER ADJUSTMENT Employer deducts shortfall from March salary or credits excess TDS as 0 further deduction.	ITR FILING File ITR. Schedule VI-A with actual deductions. Excess TDS → refund. Additional tax → pay with interest.



Master Proof Checklist — All Sections

Every document you need to support Form 12BB and Schedule VI-A

PART A — HRA

- ☐ Monthly rent receipts (signed by landlord, with stamp if >₹5,000)
- ☐ Rent agreement / lease deed
- ☐ Copy of landlord PAN card (mandatory if rent >₹1L/year)
- ☐ Bank statement showing rent payments (UPI/NEFT preferred)

PART B — LTA

- ☐ Air/rail/bus tickets for all passengers (digital/physical)
- ☐ Boarding passes (all passengers, both journeys)
- ☐ Leave sanction letter from employer
- ☐ List of family members who travelled

PART C — HOME LOAN

- ☐ Annual interest certificate from bank/HFC
- ☐ Loan sanction letter (for first-year claim)
- ☐ Completion certificate / possession letter
- ☐ Lender's PAN (on the interest certificate)

80C — INVESTMENTS

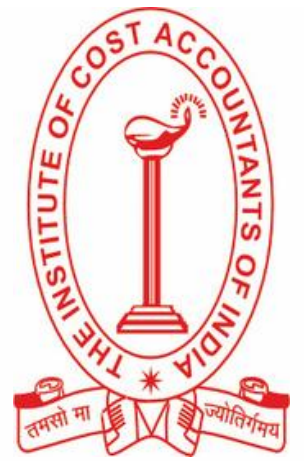
- ☐ LIC / insurance premium receipts (policy number visible)
- ☐ PPF passbook / bank statement for PPF
- ☐ ELSS Consolidated Account Statement (CAMS/KFintech)
- ☐ NSC certificates / Tax-saver FD receipts / SCSS passbook
- ☐ Children's tuition fee receipts from institution

80CCD — NPS

- ☐ NPS Transaction Statement for Tier-I (from CRA portal)
- ☐ PRAN card copy (for reference)
- ☐ Employer NPS statement (for 80CCD(2) — employer provides)

80D, 80E, 80G

- ☐ Health insurance premium receipt + policy certificate
- ☐ Education loan annual interest certificate from lender
- ☐ Donation receipts with donee PAN + 80G registration number
- ☐ Form 10BE from donee (mandatory from FY 2021-22)



Form 12BB & Schedule VI-A — Everything on One Slide

FORM 12BB — 4 PARTS

Part A — HRA

Key: Rent + Landlord PAN + Period · Limit: Least of 3 formulae · Proof: Receipts + PAN card copy

Part B — LTA

Key: Journey dates + Mode + Family · Limit: Actual fare (shortest) · Proof: Tickets + Leave letter

Part C — Sec 24(b)

Key: Lender PAN + Interest Amt · Limit: ₹2,00,000 self-occ. · Proof: Annual interest certificate

Part D — Ch VI-A

Key: All sections: 80C to 80G · Limit: Section-wise limits · Proof: Receipts / statements

Section	Max Limit / Key Rule
80C	₹1,50,000 (aggregate with 80CCC+80CCD(1))
80CCD(1B)	₹50,000 extra — SEPARATE field
80CCD(2)	14%/10% of basic — BOTH regimes ☒
80D	₹25,000 – ₹1,00,000 (senior combos)
80DD / 80U	₹75,000 / ₹1,25,000 (disability)
80DDB	₹40,000 – ₹1,00,000 (critical illness)
80E	NO LIMIT — full interest deductible
80G	50% or 100% — verify donee annually
80TTA / 80TTB	₹10,000 / ₹50,000 (seniors — all interest)
Sec 24(b)	₹2,00,000 — old regime only

KEY DEADLINES

April

Submit initial Form 12BB estimate

Jan–Feb

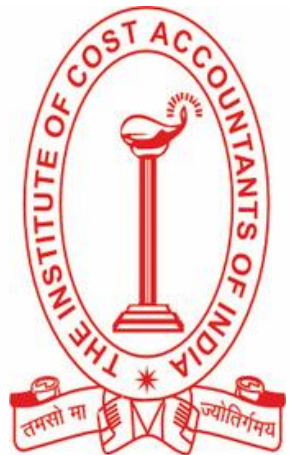
Submit FINAL proofs to employer

July 31

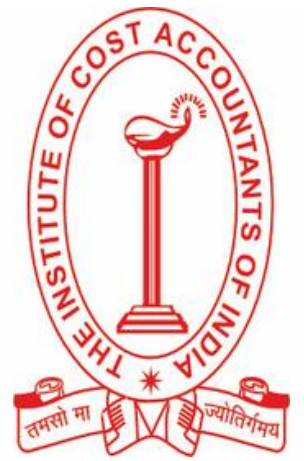
File ITR + Schedule VI-A (individuals)

6 Years

Retain all proofs (FY + 6 years)



DEDUCTION STRATEGY

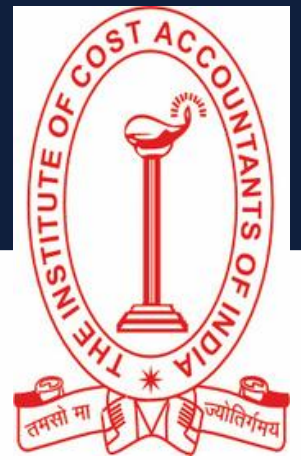


Identifying Grandfathered Deductions & Maximizing Benefits Through New Increased Limits

Sections 153 · 154 Equivalents | Strategic Tax Planning Guide



What This Presentation Covers



01

Understanding Grandfathered Deductions

What they are, why they matter, who qualifies

02

Identifying Your Grandfathered Benefits

Section-wise identification framework

03

Section 153 Equivalent – Deep Dive

Interest on deposits: old limits vs. new limits

04

Section 154 Equivalent – Deep Dive

Home loan / first-time buyer new limit maximization

05

Benefit Maximization Strategy

Combining grandfathered + new limits for maximum gain

06

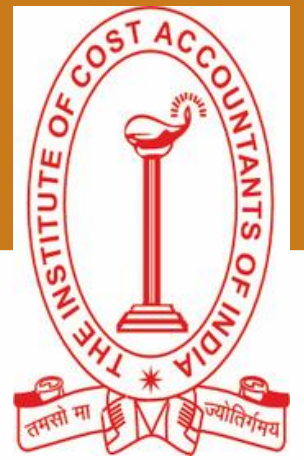
Compliance, Pitfalls & Action Plan

Documentation, timelines & checklist

Behind every successful business decision, there is always a **CMA**



What Is a Grandfathered Deduction?



GRAND- FATHERED DEDUCTION

A tax benefit that was available under an OLDER law and is preserved ("grandfathered") for taxpayers who already qualified — even after the law changed or the regime/limit was updated.

OLD

Preserved from Prior Law

Investments or commitments made under older provisions continue to enjoy their original deduction terms, even if the section has since changed.

NEW

New Limits Don't Override

When Parliament raises or restricts limits, individuals who locked in before the change keep the original benefits — protecting their planning.

KEY

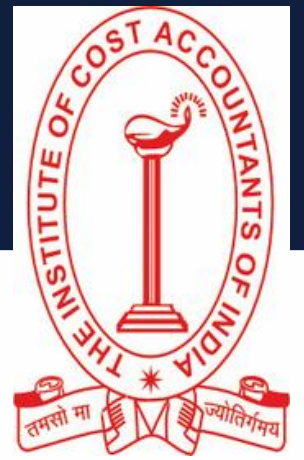
Strategy Value

Identifying which of your deductions are grandfathered vs. which can be increased under new limits is the first step to maximizing your tax saving.

Behind every successful business decision, there is always a **CMA**



Why Grandfathering Matters — The Tax Planning Imperative



BEFORE CHANGE

Taxpayer invests/commits under old provisions

LAW CHANGES

Parliament amends limit, eligibility or section

GRANDFATHERED

Old investors protected — keep original benefit

Protection of Past Investments

LIC policies, PPF accounts and loans taken before rule changes are not penalized by retroactive application of new rules.

Planning Continuity

Long-term financial commitments (home loans, pension plans) are not disrupted mid-way by legislative amendments.

Dual Opportunity

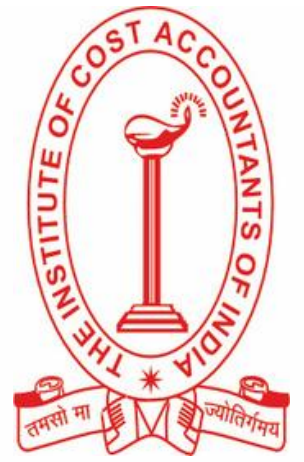
Savvy taxpayers can hold both grandfathered benefits AND claim new increased limits on separate qualifying investments.

Risk of Missing Out

Taxpayers unaware of their grandfathered status may under-claim or switch regimes unnecessarily, losing thousands annually.

Behind every successful business decision, there is always a **CMA**





M O D U L E

Identifying Your Grandfathered Deductions

A systematic framework to audit your existing deduction portfolio

Behind every successful business decision, there is always a **CMA**



Step-by-Step: How to Identify Grandfathered Deductions



1

Audit Your Existing Financial Commitments

List every active investment, insurance policy, loan, and savings account. Note the date of commencement for each — this is your baseline.

2

Match Against Pre-Amendment Provisions

For each item, identify which tax section governed it when you started. Check if that section has since been amended, merged or had its limits changed.

3

Apply the 'Date of Acquisition' Test

Tax law typically preserves benefits for instruments purchased/contracted before the amendment date. Confirm the cut-off date for each section.

4

Quantify the Preserved Benefit

Calculate how much deduction you are entitled to under the OLD limit vs. what the new limit would give you. The difference is your grandfathered advantage.

Behind every successful business decision, there is always a **CMA**



Grandfathered Deduction Audit — Section Reference Table

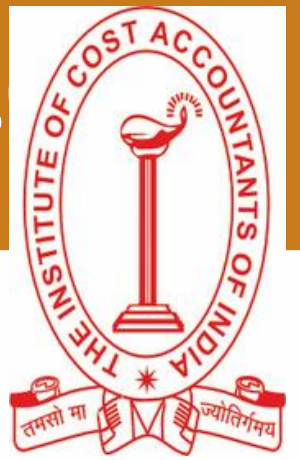


Section / Instrument	Grandfathering Cut-off	Old / Protected Limit	New / Current Limit	Grandfathered Advantage
Life Insurance (Sec 123≡80C)	Before Apr 1, 2012	20% of Sum Assured	10% of Sum Assured	Excess premium on older policies
ULIP Premium (Sec 123≡80C)	Before Feb 1, 2021	No cap on premium	₹2.5L annual cap	Premiums under old ULIP kept exempt
PPF (Sec 123≡80C)	No cut-off	₹1.50L limit	₹1.50L (unchanged)	EEE status grandfathered always
Sec 153 ≡ 80TTB Interest	SR. Citizen pre-rule	₹50,000 on all dep.	₹50,000 (new high)	New higher limit; no grandfathering needed
Sec 154 ≡ 80EEA Home Loan	Loan sanctioned cutoff	₹1.50L interest	₹1.50L (new added)	First-time buyer — cut-off date critical
NPS Sec 123B ≡ 80CCD(1B)	No cut-off	₹50,000 extra	₹50,000 (unchanged)	Always additive — no grandfathering issue

Behind every successful business decision, there is always a **CMA**



Case Study: Grandfathered Life Insurance Premium — Before vs. After 2



PRE-2012 POLICY

(GRANDFATHERED)

- Sum Assured: ₹10,00,000
- Annual Premium: ₹2,00,000
- Rule: Deduction = 20% of Sum Assured
- $20\% \times ₹10,00,000 = ₹2,00,000$
- Full premium qualifies!
- Deduction Claimed: ₹2,00,000
- **Tax saved (30% slab): ₹60,000**

VS

POST-2012 NEW POLICY

(RESTRICTED LIMIT)

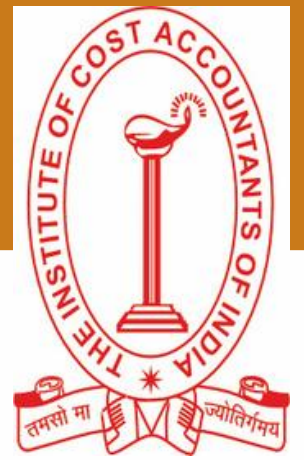
- Sum Assured: ₹10,00,000
- Annual Premium: ₹2,00,000
- Rule: Deduction = 10% of Sum Assured
- $10\% \times ₹10,00,000 = ₹1,00,000$
- Only ₹1,00,000 qualifies!
- Deduction Claimed: ₹1,00,000
- **Tax saved (30% slab): ₹30,000**

GRANDFATHERED ADVANTAGE: ₹30,000 MORE TAX SAVED per year — simply by having started before April 1, 2012

Behind every successful business decision, there is always a **CMA**



Grandfathered ULIPs — The February 2021 Rule Change



PRE-FEB 2021 ULIPs

(Grandfathered)

- No annual premium cap for tax exemption
- Maturity proceeds 100% exempt under Sec 10(10D)
- Even ₹10L/year premium → full exemption at maturity
- Grandfathered status: preserved for life of policy
- Strategy: Hold existing pre-2021 ULIPs to maturity for maximum tax-free corpus

POST-FEB 2021 ULIPs

(Restricted)

- Annual premium cap: ₹2,50,000 for tax exemption
- If premium > ₹2.5L: excess treated as equity investment
- Maturity proceeds on excess portion: taxable as LTCG
- No grandfathering if premium exceeds cap post-2021
- Strategy: Keep new ULIP premiums within ₹2.5L annual cap

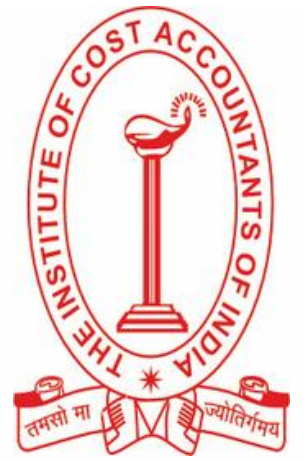
ACTION PLAN

(What To Do Now)

- Do NOT surrender pre-2021 ULIPs — this kills the grandfathered exemption
- Continue premium payment to preserve the benefit
- If considering new ULIP: stay under ₹2.5L premium
- Document policy start date and premium receipts carefully
- Review with advisor: ULIP vs ELSS post-2021 comparison

Behind every successful business decision, there is always a **CMA**





M O D U L E

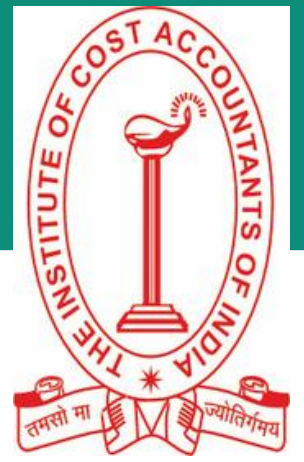
Section 153 Equivalent (≡ Section 80TTB)

*Interest Income Deduction for Senior Citizens
Old Limits · New Limits · Maximization Strategy*



Behind every successful business decision, there is always a **CMA**

Section 153 $\equiv$ 80TTB — Interest Income Deduction (Senior Citizens)



Section 153 (equivalent to 80TTB) provides a deduction of up to ₹50,000 on interest income earned by SENIOR CITIZENS (age 60+) from savings accounts, fixed deposits, recurring deposits and post office deposits.

Who Qualifies

Any resident individual who is 60 years or above at any time during the financial year. Non-resident senior citizens do NOT qualify.

What Qualifies

Interest from: Savings bank a/c, fixed deposits (all banks), recurring deposits, post office savings. Co-operative bank interest also included.

Deduction Amount

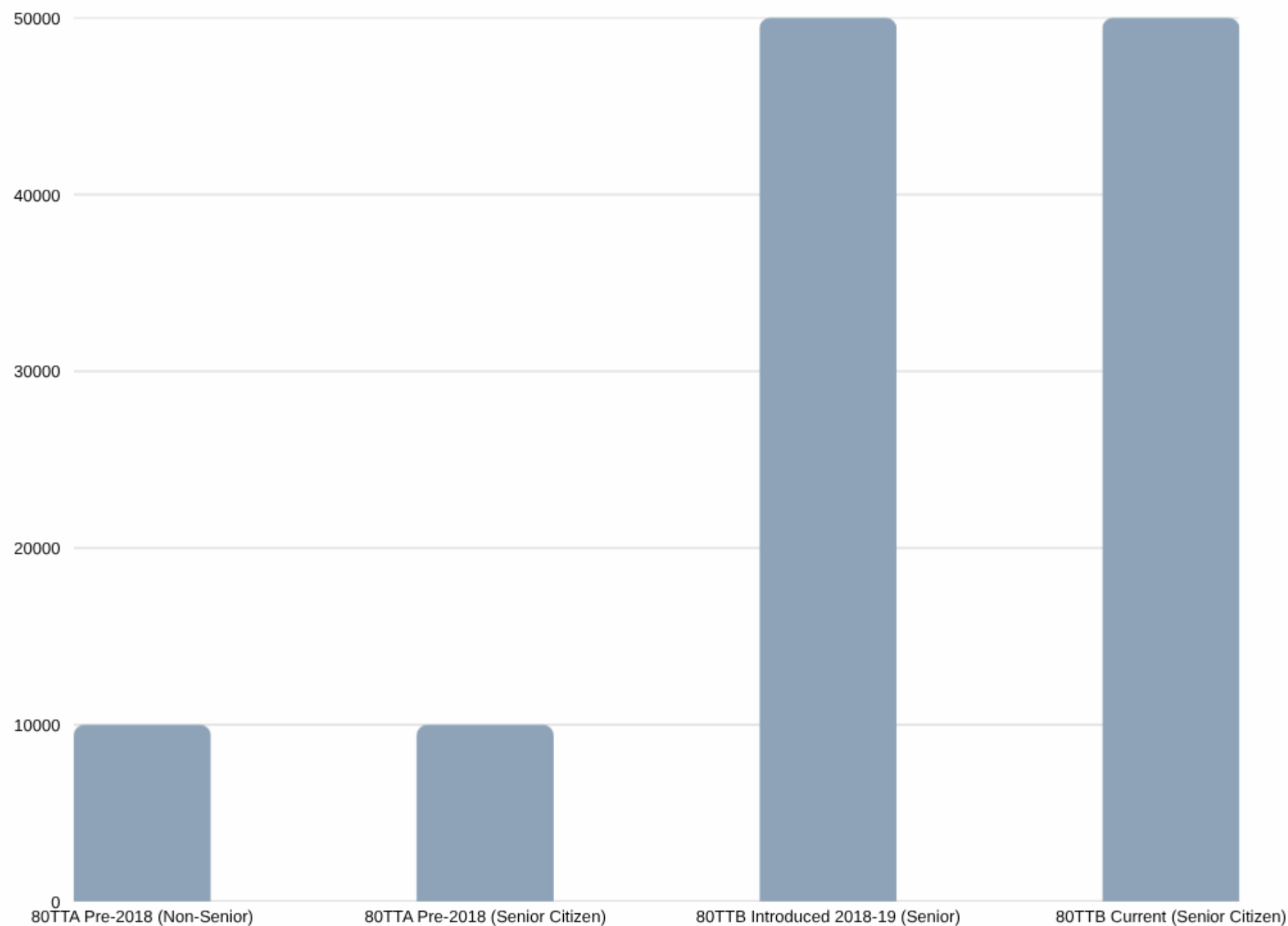
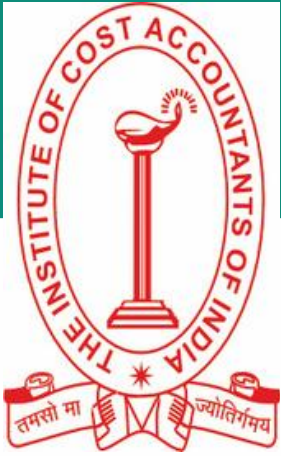
Up to ₹50,000 on actual interest earned. If interest earned is ₹35,000, deduction = ₹35,000. Entire amount of qualifying interest up to ceiling.

Critical Note

Section 80TTA (₹10,000 savings interest — available to non-senior citizens) CANNOT be claimed by senior citizens — they use 80TTB instead, which gives ₹50,000.



Section 153 — Limit Evolution: From 80TTA to 80TTB (The Big Increase)



2018

The Landmark Change

Budget 2018 introduced Section 80TTB exclusively for senior citizens, increasing their interest deduction limit from ₹10,000 to ₹50,000 — a 5× jump.

WHY

Why This Matters

Senior citizens often have large fixed deposit portfolios as their primary income source. The 5× increase directly reduces tax on their most common income stream.

400%

The Benefit Quantum

A senior citizen earning ₹50,000 in FD interest pays ZERO tax on it (in 30% bracket, that's ₹15,000 saved vs. only ₹3,000 under old 80TTA).



Behind every successful business decision, there is always a **CMA**

Section 153 — Maximization Strategy for Senior Citizens



A

Optimize Deposit Allocation Across Banks

Spread FDs across multiple banks to ensure total interest stays near ₹50,000 — or plan FD amounts so the interest ceiling is fully utilized without excess wastage.

B

Include Co-operative Bank Interest

Interest from co-operative banks is eligible under 80TTB (unlike 80TTA which was restricted to scheduled banks). Shift deposits here for higher interest rates AND deduction coverage.

C

Use Post Office Deposits Strategically

Post office TD, MIS and savings accounts all qualify. Government-backed, higher interest rates, and fully covered — ideal for senior citizens' 80TTB optimization.

D

Spouses with Independent Income

If both spouses are senior citizens, EACH can claim ₹50,000 deduction separately — effectively ₹1,00,000 household interest deduction. Split deposits accordingly.

E

TDS vs Self-Assessment Alignment

Banks deduct TDS at 10% on FD interest (or 20% without PAN). Filing ITR claiming 80TTB refund means senior citizens often get full TDS refunded. Ensure Form 15H is submitted to avoid unnecessary TDS.

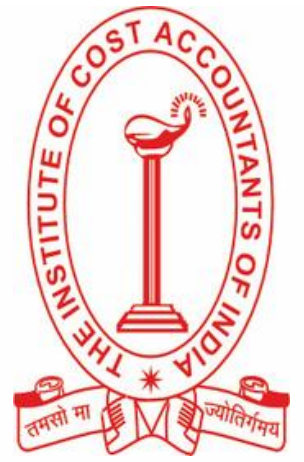


Section 153 — Worked Example: Ramesh & Sunita (Senior Couple)



RAMESH (Age 67)		SUNITA (Age 63)	
FD Income (SBI)	₹28,000	FD Income (PNB)	₹22,000
FD Income (HDFC)	₹16,000	Post Office TD	₹14,000
Post Office RD	₹9,000	Co-op Bank FD	₹11,000
Savings A/c Interest	₹4,000	Savings A/c Interest	₹3,000
Total Interest Income		Total Interest Income	
	₹57,000		₹50,000
80TTB Deduction	₹50,000 (capped)	80TTB Deduction	₹50,000 (full)
Taxable Interest		Taxable Interest	
	₹7,000		₹ NIL
Tax Saved (20% slab)	₹10,000	Tax Saved (20% slab)	₹10,000
Combined Household Tax Saving: ₹20,000/year Both claim ₹50,000 each = ₹1,00,000 deduction household total			





MODULE 04

Section 154 Equivalent (≡ Section 80EEA)

*Home Loan Interest — First-Time Buyer
New Limits & Cut-off Date Strategy*



Section 154 $\equiv$ 80EEA — First-Time Home Buyer Interest Deduction



Section 154 (equivalent to 80EEA) provides an ADDITIONAL ₹1,50,000 deduction on home loan interest for first-time buyers — OVER AND ABOVE the ₹2,00,000 limit under Section 24(b). This is the most powerful housing deduction available.

Deduction Amount

₹1,50,000 additional interest on home loan — separate from the ₹2,00,000 Sec 24(b) deduction. Combined housing interest benefit = ₹3,50,000.

First-Time Buyer

As of the date of loan sanction, the taxpayer must not own any residential house property in their name. Spouse-owned property also disqualifies.

Property Value Cap

Stamp duty value (not market value) of residential property must NOT exceed ₹45,00,000 at the time of loan sanction. Affordable housing focus.

Loan Sanction Cut-off

Loan must be sanctioned between April 1, 2019 and March 31, 2022 (original). Extensions granted — taxpayers must verify the latest notified date.

Loan from Eligible Lender

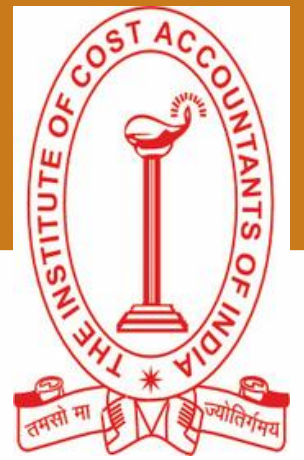
Must be borrowed from a financial institution (bank, HFC, co-operative bank). Private/informal loans do not qualify.

Not Under New Regime

80EEA equivalent deduction is NOT available if the taxpayer opts for the New Tax Regime. Only available under the Old Regime.



Section 154 — Before & After: The Limit Increase Impact



SECTION 24(b) ONLY

Before 80EEA (Old Regime)

- Home loan interest: up to ₹2,00,000 deductible
- Available for self-occupied property
- No restriction on property value
- No first-time buyer requirement
- Combined deduction ceiling: ₹2,00,000
- Tax saved (30% slab): ₹60,000 max

SECTION 154 / 80EEA ADDED

New Additional Benefit

- EXTRA ₹1,50,000 on home loan interest
- Only for first-time buyers
- Stamp duty value $\leq$ ₹45L
- Loan sanctioned in eligible window
- Over and above Section 24(b)
- Extra tax saved (30% slab): ₹45,000

COMBINED MAXIMUM

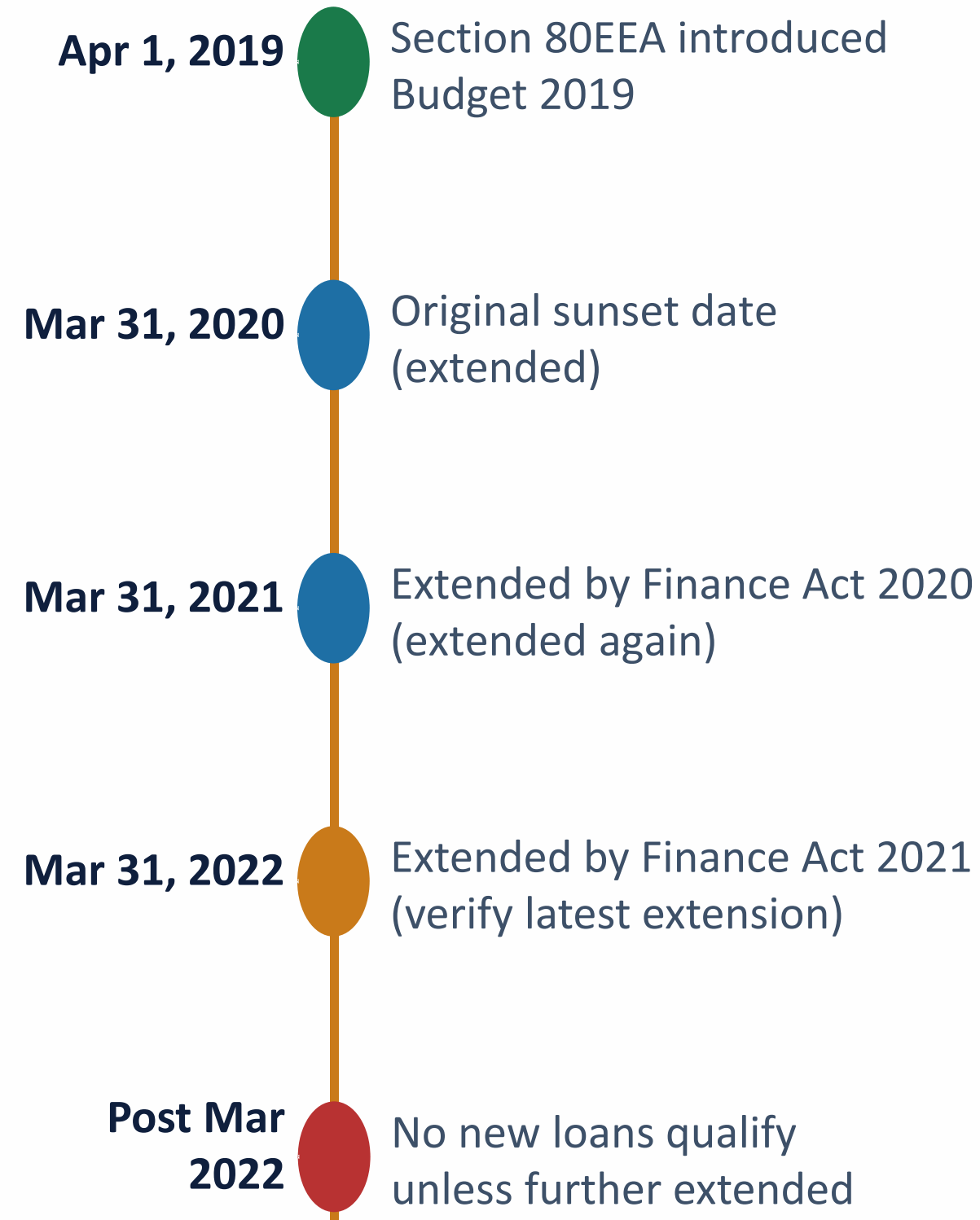
Sec 24(b) + Sec 154

- Total interest deduction: ₹3,50,000
- ₹2,00,000 [Sec 24b] + ₹1,50,000 [Sec 154]
- Tax saved (30% slab): ₹1,05,000 per year
- Over 20-year loan: ₹21,00,000 total saving
- Largest single tax benefit for individuals
- Works alongside Section 123 (principal) too

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Section 154 — The Critical Cut-Off Date: What You Must Know



STRATEGY NOTES

- If your loan was sanctioned BEFORE the cut-off date, you qualify even if disbursements happen later
- Sanction letter date is what matters — not registration or disbursement date
- If sanctioned in window: claim 80EEA for ALL remaining years of the loan
- If already claiming: do NOT switch to New Regime — you will permanently lose this deduction
- Check if Finance Act extended the cut-off beyond 2022 — verify each year
- Document: sanction letter, date, lender name, stamp duty valuation — keep permanently



Section 154 — Worked Example: First-Time Buyer Maximum Benefit



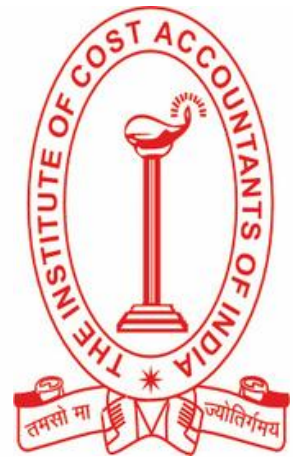
Arun, 34 | First-time buyer | Flat: ₹42L (stamp duty value) | Loan: ₹35L at 8.5% | Sanctioned: Nov 2021 | Tax bracket: 30%

Deduction Head	Section	Annual Interest	Deductible	Tax Saved (30%)
Home Loan Interest (primary)	Sec 24(b)	₹2,97,500	₹2,00,000	₹60,000
Additional 1st-Time Buyer Interest	Sec 154/80EEA	₹97,500 (remaining)	₹97,500	₹29,250
Home Loan Principal Repayment	Sec 123/80C	₹75,000 approx.	₹75,000	₹22,500
TOTAL TAX SAVING — HOME LOAN			₹3,72,500	₹1,11,750

Note: Interest deductible in year 1 is lower as EMI is partially principal. Section 154 maximum limit is ₹1,50,000; here ₹97,500 is the remaining interest after Sec 24(b) cap is hit.

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M O D U L E

Benefit Maximization Strategy

*Combining Grandfathered Protections + New Increased Limits
for Absolute Maximum Tax Deduction*



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The Master Deduction Stack — Building Your Maximum Benefit Structure

LAYER 1	Section 123 $\equiv$ 80C ELSS, PPF, LIC, EPF, Tax FD — fill this first every year	₹1,50,000
LAYER 2	Sec 123B $\equiv$ 80CCD(1B) NPS own contribution — SEPARATE extra deduction over Layer 1	+ ₹50,000
LAYER 3	Sec 126 $\equiv$ 80D Health Self+family (₹25K) + senior parents (₹50K) — two separate sub-limits	₹75,000+
LAYER 4	Sec 24(b) Home Loan Interest on self-occupied property — standard limit	₹2,00,000
LAYER 5	Sec 154 $\equiv$ 80EEA EXTRA interest for first-time buyers — over & above Layer 4	+ ₹1,50,000
LAYER 6	Sec 153 $\equiv$ 80TTB Senior citizens — savings/FD/post office interest deduction	₹50,000
MAXIMUM TOTAL DEDUCTIONS (First-time buyer senior + full stack): up to ₹6,25,000+ per year		



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Combining Grandfathered Deductions with New Limits — The Dual Advantage

You don't have to choose between grandfathered protections and new limits — you can have BOTH simultaneously:

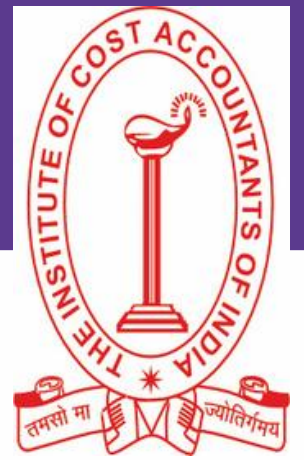
GRANDFATHERED (Protect)

- Pre-2012 LIC policy: 20% Sum Assured deduction → ₹2,00,000
- Pre-2021 ULIP: no premium cap → maturity fully exempt
- PPF Account: EEE status regardless of any rule change
- Long-term home loan (pre-EEA window): Sec 24(b) fully preserved
- Old NSC investments: accrued interest still qualifies each year

+

NEW LIMITS (Maximize)

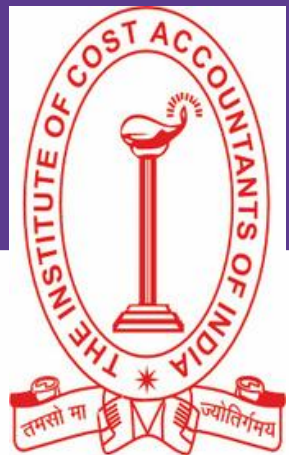
- NPS extra ₹50,000 (80CCD(1B)): always new, always additive
- 80TTB ₹50,000: new limit for seniors introduced 2018
- 80EEA ₹1,50,000: new limit for 1st-time buyers 2019+
- Health insurance ₹50,000 senior parents: new high limit
- Co-op bank interest under 80TTB: new expanded coverage



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Master Example: Sundar (42, Salaried) — Full Deduction Optimization



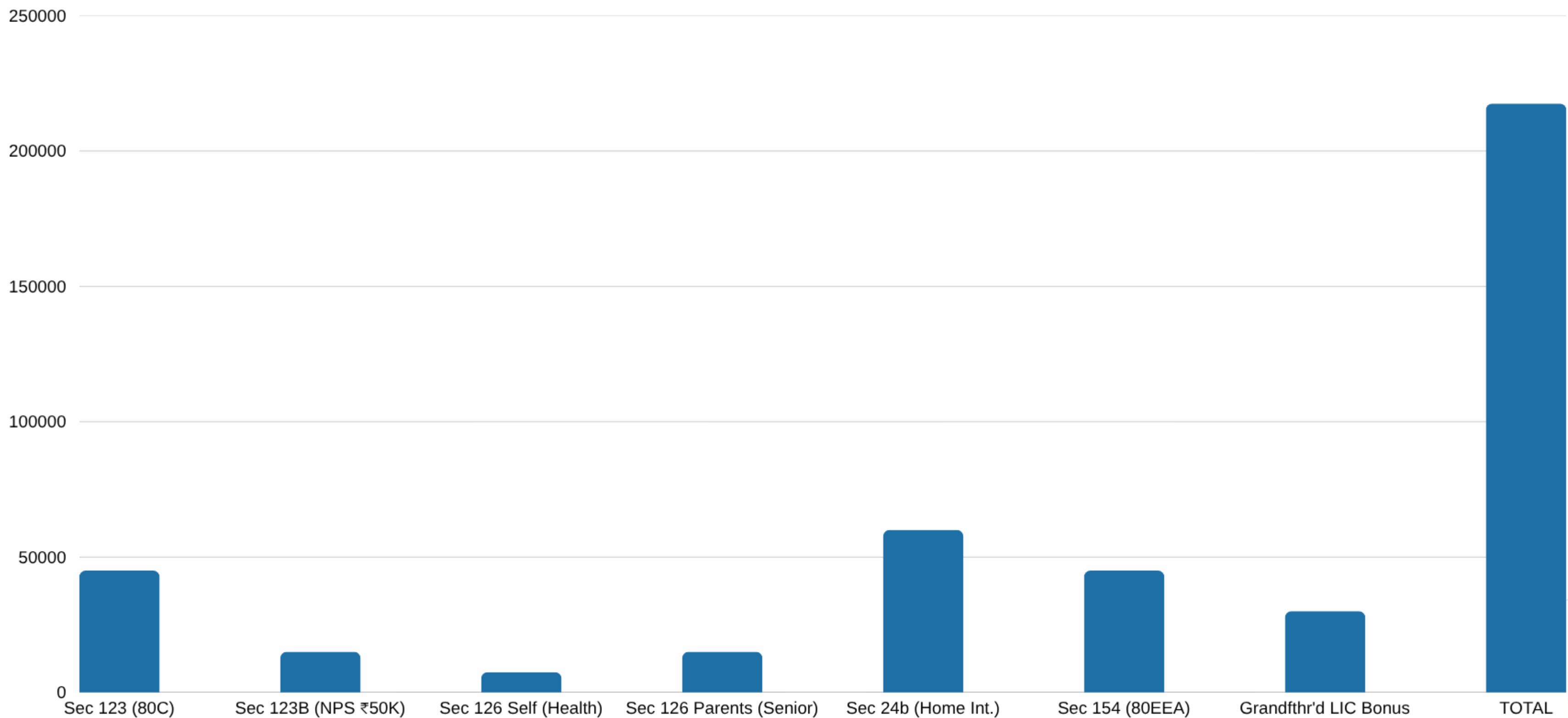
Profile: Salary ₹18L gross | Owns a ₹40L flat (loan sanctioned Oct 2020) | Has pre-2012 LIC | Both parents aged 65+ | Not a senior citizen

Deduction	Section	Type	Amount
LIC Premium (pre-2012 policy)	Sec 123	GRANDFATHERED	₹2,00,000
PPF Deposit	Sec 123	Ongoing	₹50,000 (within 1.5L)
ELSS SIP	Sec 123	New Investment	₹(balance to 1.5L)
NPS Own Contribution	Sec 123B(1B)	NEW (Extra ₹50K)	₹50,000
Health Ins: Self+Family	Sec 126/80D	Current Limit	₹25,000
Health Ins: Senior Parents	Sec 126/80D	NEW High Limit	₹50,000
Home Loan Interest	Sec 24(b)	Standard	₹2,00,000
1st-Time Buyer Extra Interest	Sec 154/80EEA	NEW Limit	₹1,50,000
TOTAL DEDUCTIONS			₹7,25,000+



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Deduction Benefit Waterfall — Taxable Income Reduction (30% Bracket)



**Grandfathered LIC Bonus = extra ₹30,000 tax saved vs. post-2012 policy (additional 10% Sum Assured deductible under old rule)*

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Regime Strategy — When to Stay in Old Regime to Protect Grandfathered Benefits



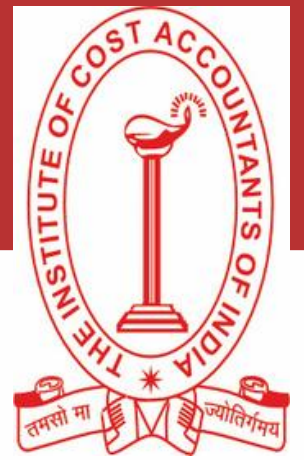
WARNING: Switching to the New Tax Regime PERMANENTLY FORFEITS your grandfathered deductions for that year — and if you have an ongoing home loan (80EEA), you cannot re-claim it for years where you opted New Regime.

Taxpayer Profile	Old Regime Deductions	New Regime Deductions	Recommendation
Has pre-2012 LIC + 80EEA loan + 80TTB	₹4,50,000+	₹75,000	STAY OLD REGIME
Young salaried, no home loan, no LIC	₹1,50,000	₹75,000+	CONSIDER NEW
Senior citizen with large FD portfolio	₹2,50,000+	₹0 (80TTB lost)	STAY OLD REGIME
First-time home buyer (80EEA active)	₹3,50,000+	₹0 (80EEA lost)	STAY OLD REGIME
High income, no eligible deductions	₹1,50,000 only	Lower slab rates	EVALUATE BOTH



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Critical Mistakes That Destroy Grandfathered & New-Limit Benefits



Surrendering a pre-2012 LIC policy early



Hold to maturity — surrender kills the 20% Sum Assured grandfathered deduction permanently



Switching to New Regime with active 80EEA loan



Run a comparison calculator. In most home-loan cases, Old Regime gives ₹30K–₹60K more saving



Senior citizen claiming 80TTA instead of 80TTB



Senior citizens must use 80TTB (₹50,000) — not 80TTA (₹10,000). Wrong section = under-claim



Paying health premium in cash (parents, self)



Must pay by digital/cheque except ₹5,000 preventive check-up; cash payment = deduction disallowed



Missing the 80EEA loan sanction cut-off date



Verify each year if Finance Act extended the date; sanction letter date governs, not disbursement



Not claiming NPS extra ₹50,000 (80CCD(1B))

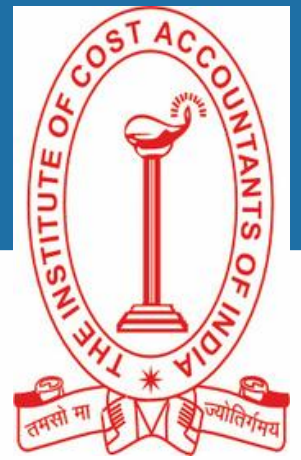


This is always additive — open Tier 1 NPS if not already done; simplest ₹15,000 tax saving

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Documentation Checklist — Protect & Prove Your Deductions



Grandfathered LIC / ULIP

- Original policy document with commencement date
- Premium receipts for all years paid
- Policy schedule showing Sum Assured
- Form 16 / ITR copies showing deduction history

Section 153 / 80TTB (Senior)

- FD/RD account statements from all banks
- Post office passbook or statements
- Form 16A (TDS certificate from each bank)
- Form 15H submitted to banks (prevent excess TDS)

Section 154 / 80EEA (Home)

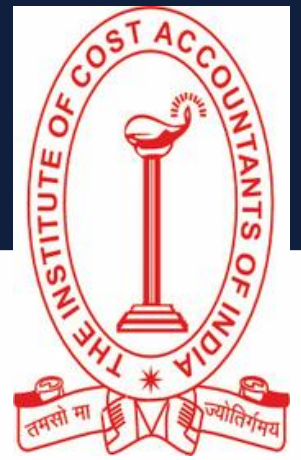
- Original loan sanction letter with date
- Lender's interest certificate (issued annually)
- Stamp duty / registration valuation certificate
- Self-declaration of first-time buyer status

General / Annual Compliance

- Employer Form 12BB with investment proof submission
- Form 10BE from all charitable donees (Section 133)
- Health insurance premium receipts (non-cash)
- ITR-1/2 acknowledgement for each year filed



Year-by-Year Action Plan — Maximizing Every Deduction Every Year



APR–MAY

Audit & Reset

- Review all active grandfathered instruments; confirm none have lapsed
- Confirm 80EEA/80TTB eligibility for the new financial year
- Set up ELSS SIPs and NPS contributions from Day 1

JUN–SEP

Optimize Deposits

- Renew FDs ensuring senior citizens earn close to ₹50,000 interest
- Verify co-operative bank FD rates vs scheduled banks for 80TTB
- Review ULIP statements; confirm pre-2021 policies are active

OCT–DEC

Complete Investments

- Top up PPF to ₹1,50,000 if not reached via monthly deposits
- Make any lump-sum ELSS if SIP hasn't completed 80C limit
- Plan charitable donations with registered institutions; ensure digital payment

JAN–MAR

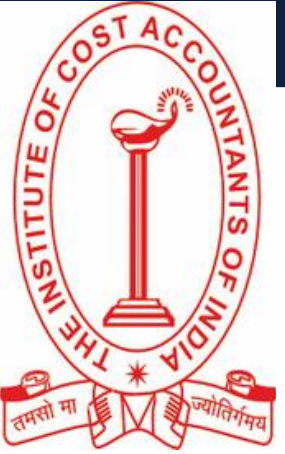
Submit Proof & File

- Submit Form 12BB to employer with all investment proofs
- Collect Form 10BE from donees; obtain health insurance receipts
- Obtain home loan interest certificate; verify 80EEA eligibility
- Choose Old vs New Regime — model both before March 31 deadline



Quick Reference: All Key Sections — Grandfathered Status & Current Limits

Section	Current Limit	Old Limit	Grandfathered?	Who	Key Note
Sec 123 $\equiv$ 80C	₹1,50,000	—	NO – flat cap	All Individuals/HUF	LIC, PPF, ELSS, EPF, FD
LIC (pre-Apr 2012)	20% of Sum Assured	10% (post-2012)	YES – old rate	Individual/HUF	Policy date decides limit
ULIP (pre-Feb 2021)	No premium cap	₹2.5L cap	YES – no cap kept	Individual	Do not surrender
Sec 123B $\equiv$ 80CCD(1B)	₹50,000 extra	—	NO (new benefit)	Salaried/Self-emp.	Always additional
Sec 126 $\equiv$ 80D Self	₹25,000 / ₹50,000	—	NO – age-based	Individual/HUF	₹50K if senior
Sec 126 $\equiv$ 80D Parents	₹25K or ₹50K	₹10K (old)	YES – new high limit	Individual	Senior parents = ₹50K
Sec 153 $\equiv$ 80TTB	₹50,000	₹10K (80TTA)	N/A – new section	Senior Citizens (60+)	Introduced 2018-19
Sec 154 $\equiv$ 80EEA	₹1,50,000 extra	—	NO – cut-off date	First-time buyers	Sanction date window
Sec 24(b) Home Loan	₹2,00,000	—	NO – standard	All property owners	Self-occupied property



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Thank You



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